JÖNKÖPING UNIVERSITY
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Navigating the Competitive Landscape: The Role of Outsourcing in Organizational Success

An exploratory study on Opportunities and Challenges in Strategic Outsourcing in Service Supply Chains

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Abstract

Background: The rapid expansion of the service industry worldwide over the past decades has intensified competition among service providers. In response to this competition, service industries are increasingly turning to outsourcing decisions to leverage opportunities and gain a competitive edge. This includes outsourcing both core and non-core competencies to better position themselves against rivals. However, while outsourcing presents numerous opportunities within the service industry landscape, organizations also encounter significant challenges. Thus, there is a pressing need for a comprehensive framework to identify and address both the potential opportunities and challenges associated with outsourcing. This study aims to provide a thorough overview of how the opportunities and challenges of strategic outsourcing in Service Supply Chains influence the competitiveness of organizations across various service industries with a comprehensive framework and model to enhance the competitiveness within Service Supply Chains.

Purpose: Fulfil the previous research gaps related to outsourcing within SSC domain by exploring how the opportunities and challenges of strategic outsourcing in Service Supply Chains influence the competitiveness within service industries in Sweden.

Method: The research adopts inductive approaches, utilizing qualitative data collection methods, including open-ended interviews following a grounded theory approach. The

empirical findings contribute to the development of a comprehensive model, offering insights into both mitigating challenges and capitalizing on opportunities in outsourcing within Service Supply Chains.

Conclusion: The study addresses the organizational focus on outsourcing within Service Supply Chains, highlighting how strategic outsourcing in Service Supply Chains influences organizations' competitiveness across various service industries in Sweden. Organizations outsource both core and non-core competencies to meet customer demands and remain competitive. While outsourcing presents opportunities for revenue generation and other benefits such as access to resources, it also brings challenges such as additional costs, quality issues, and delivery delays, impacting competitiveness negatively. To align with organizational goals, approaches are employed to mitigate these challenges and capitalize on opportunities. The research provides a comprehensive framework, considering agency theory perspectives, to navigate outsourcing opportunities and challenges. It identifies organizational and supplier-level factors that influence competitiveness in Service Supply Chains by mitigating challenges and capitalizing on opportunities.

Abbreviations

Notation	**Meaning**
SCM	Supply Chain Management
SC	Supply Chain
SSC	Service Supply Chain
SSCM	Service Supply Chain Management
MSC	Manufacturing Supply Chain
MSCM	Manufacturing Supply Chain Management
PSSC	Product and Service Supply Chain
SOCS	Service Only Supply Chain
SCI	Supply Chain Integration
SME	Small and Medium Enterprises
MNE	Multi National Enterprise

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Avesta, May 9th 2024.

Nadeeka Berglund

Stockholm, May 9th, 2024

Muhammad Saqib Riaz

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"In the 21st century, the competitive landscape has shifted from inter-enterprise rivalry to inter-supply chain competition. The service industry has emerged as a primary driver of global economic growth, prompting a significant shift in labor force dynamics from manufacturing to services. Many manufacturing companies are generating substantial revenue from their service divisions. Additionally, heightened customer expectations for quality and personalization are compelling suppliers to enhance and expand their service offerings."

(Zhang & Chen, 2015)

1. Introduction

The chapter gives you a comprehensive overview of Opportunities and challenges in strategic outsourcing in Service Supply Chains. The domain of outsourcing has been analysed from the lens of agency theory considering the potential opportunities and challenges associated with the decision when taken in Service Supply Chains. Three sub-chapters have been made part of the introduction: Background, Problem Identification, and Research Purpose.

1.1 Background

In today's global economy, Supply Chains (SCs) are the backbone of commerce, seamlessly connecting goods and services across borders and regions. In addition to their role in facilitating trade SCs also play a crucial role in shaping economic interdependencies between nations and fostering global competitiveness. Moreover, they[1] serve as key drivers of innovation and efficiency, driving continuous improvements in product quality and service delivery while enabling businesses to adapt to evolving market demands and consumer preferences. By strategically managing SCs, businesses can enhance their competitiveness, improve customer satisfaction, and respond effectively to market dynamics and disruptions. The academic literature identifies two primary branches of supply chain management: Manufacturing Supply

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In this research paper, the outsourcer is referred to as the 'organization' ,'company' or ,'buyer', while the outsourcee is designated as the 'supplier'.

Chain (MSC) and Service Supply Chain (SSC). Both branches engage with numerous stakeholders in local markets and on a global spectrum, highlighting the interconnected nature of modern commerce (Zhang & Chen, 2015). The service sector particularly holds significant sway over the gross domestic product (GDP) of developed, industrial, and emerging economies (Boon-itt et al., 2017; Choi et al., 2016). The trend of service-based economies started in the late 1990s with a robust increase in service-based industries all over the world and it still has a big impact in shaping industries globally.

Research on SSCs has gained traction due to the sector's substantial contributions to employment and economic growth. Globally, the service industry has experienced remarkable expansion, emerging as a key driver of employment all over the world, especially in the European and North American regions (Ellram et al., 2004; O'Neill, 2024). Moreover, manufacturing firms are increasingly adopting service-oriented approaches, signalling a broader trend toward diversification and service integration within SCs (Business Sweden, n/d). Within the European Union (EU), services play a pivotal role in both GDP and employment, spanning diverse sectors such as transportation, finance, retail, and tourism (Services - Statistics | Access2Markets, n/d). The EU also holds a dominant position in global service trade, significantly contributing to both exports and imports. Amidst intense competition across manufacturing and service industries, organizations seek to optimize value and minimize costs to remain competitive. One strategic avenue for achieving this balance is through outsourcing, enabling firms to leverage external expertise while streamlining resource allocation (Harrison & Hoek, 2011). But this balance is disturbed by the agency problems which frequently appear when two parties engage in a strategic relationship of outsourcing.

Given the economic significance and widespread impact of the service industry, there exists a compelling rationale to delve into the intricacies of SSCs. The importance of the topic is also imminent looking at the fact that while competition once revolved around individual enterprises, the modern landscape has shifted towards competition among entire SCs (Zhang & Chen, 2015). This shift has also prompted MSC to incorporate services into their operations, driven by the need to enhance competitiveness and boost revenue streams (Löfberg et al., 2010). Notable companies like Volvo AB and many others have strategically diversified their revenue by integrating services or intangible products into their offerings (Löfberg et al., 2010).

Despite the burgeoning importance of SSCs, scholarly attention remains disproportionately focused on MSCs This gap underscores the significance of exploring the opportunities and challenges unique to SSCs, particularly in light of the remarkable growth observed in service-based industries worldwide (Choi et al., 2016). Our research seeks to contribute to this discourse by delving deeper into the dynamics of SSCs, shedding light on their strategic imperatives and competitive landscape in Swedish service-industry. Understanding these intricacies is crucial for businesses aiming to thrive in the ever-evolving service sector in Sweden, making the study of strategic outsourcing in SSCs an intellectually stimulating and practically relevant endeavour.

1.2 Problematization

Existing literature on Supply Chain Management (SCM) has provided comprehensive insights into the coordination required to deliver both tangible and intangible products to consumers (Wang et al., 2015). Among a few definitions of SCM, Zhang & Chen, (2015) have identified SSC as the supply chain responsible for the conversion of resources into finalized products, which are then delivered to and received by customers within the service industry, centred around the service production process. This body of work recognizes SSCs as a vital component of SCM, highlighting the integration of services alongside traditional manufacturing processes (Choi, 2022). While SSCs encompass diverse sectors such as healthcare, transportation, finance, and retail, their unique characteristics set them apart from MCSs. These include variability, perishability, and customization, all of which present distinct challenges and opportunities (Avery & Swafford, 2009).

Despite the extensive literature on supply chain management, there exists a notable gap in our understanding of the opportunities and challenges of strategic outsourcing within SSCs of service industries in Sweden. While logistics play a pivotal role in MSCs, its impact on SSCs remains underexplored (Harrison & Hoek, 2011; Broedner et al., 2009). Moreover, the unique characteristics of SSCs, such as customer-supplier duality and perishability, pose distinct challenges that require further investigation (Avery & Swafford, 2009) especially taking into account the agency problems that arise in the outsourcing relationships. Additionally, the literature lacks empirical studies examining how organizations in Sweden navigate these challenges and leverage outsourcing strategies within SSCs.

Understanding the intricacies of strategic outsourcing in SSCs is crucial for several reasons. Firstly, service industries play a significant role in the global economy, contributing significantly to GDP and employment (Liu et al., 2017), which is equally applicable to Sweden. Effective supply chain management is essential for maintaining the competitiveness and sustainability of these industries. Secondly, emerging trends and external factors, such as technological advancements and global economic changes, are reshaping SSCs, necessitating a nuanced understanding of outsourcing strategies (Choi, 2022). Without addressing these challenges, organizations risk inefficiency, decreased competitiveness, and missed opportunities for innovation and growth. Finally, in an outsourcing relationship, each party often prioritizes its own goals over shared-objectives, creating what is known as the agency problem. Therefore, gaining a deep understanding of outsourcing strategies through the lens of agency theory is vital for navigating this dynamic landscape.

To address the identified gap in the literature, our research adopted a comprehensive approach, drawing on qualitative research with the help of interviews and primary data collection techniques. We conducted an extensive literature review to establish a foundational understanding of SSCs and outsourcing dynamics. Building on this, we will employ qualitative research methods, including interviews with key decision makers in various service industries in Sweden, to gather first-hand insights into their experiences and perspectives. By doing primary data analysis, we aimed to provide a holistic and context-specific understanding of the opportunities and challenges of strategic outsourcing in SSCs through a comprehensive model to mitigate challenges the companies face in order to stay competitive.

Through our research, we aim to contribute to both academia and industry practices by shedding light on the intricacies of strategic outsourcing in SSCs. By filling the gap in existing literature regarding these dynamics, our findings will advance knowledge in the field of supply chain management and provide actionable insights for stakeholders across various service-based industries in Sweden. We have provided valuable insights that can inform organizational strategies, improve supply chain efficiency, and drive innovation within service industries. Additionally, our research offers practical recommendations for organizations seeking to navigate the complexities of SSCs and leverage outsourcing strategies effectively to enhance their competitiveness.

1.3 Research purpose

As mentioned in the background, in recent years several researchers have considered the importance of SSCs considering the market shifts in developed economies as well as emerging economies. Numerous research articles have been published regarding the SSCs from different perspectives such as operational management (Wang et al., 2015), social capital (Avery & Swafford, 2009), risk management (Choi et al., 2016), and sustainability perspectives (Liu et al., 2017). Although Choi et al., (2016) have considered the risk of outsourcing in SSCs, the study hasn't contributed to an insightful model with opportunities for analysis with primary data collection.

The article of Harland et al., (2005) has presented the opportunities and risks in MSCs with case studies analysis. The study notes the successful cases of outsourcing with real-world company examples and the potential risks of outsourcing in the MSC. Nevertheless, considering the unique characteristics of the SSCs such as customer-supplier duality, perishability, heterogeneity, and labor intensity, it is essential to conduct insightful research on the opportunities and challenges of outsourcing in SSCs. Considering the existing research gaps and the differences between SSCs and MSCs the purpose of the research is to provide an insightful framework to identify the opportunities and challenges in outsourcing from the perspective of the managers who are actively engaged in outsourcing decisions in SSCs impacting the competitiveness of organizations Hence, we concerned our research from the perspectives of outsourcing managers, operation managers and certain cases with CEOs who are actively engaging in outsourcing decisions.

1.4 Research question

To fill the gap identified in the existing literature and to meet the purpose of this study, the research question has been formulated:

RQ: ***How do the opportunities and challenges of strategic outsourcing in Service Supply Chains influence the competitiveness of organizations across various service industries?***

There are certain delimitations and specifications are applied to this study and these limitations and specifications are explained in the conclusion chapter.

2. Theoretical background

The chapter provides an exhaustive overview of the existing literature in the domain of SSCs. At the beginning of the chapter, it explains the methods of literature review in detail. The following sections define and explain various terms related to supply chains to enhance comprehension of SSCs. Subsequently, it elaborates on Supply Chain, Manufacturing and SSCs emphasizing their similarities and differences, as well as aspects associated with the domain such as outsourcing and competitiveness.

2.1 Literature Review method

To get a comprehensive understanding, we reviewed existing literature in the domain of SSCs. In search of the relevant literature, we used a systematic literature review method to gather, organize, and evaluate existing literature in the field as suggested by Paul et al., (2021). Initially, we gathered some useful literature by using relevant keywords, then organized and evaluated by skimming and scanning. At first, we used the keyword “Supply Chains” to emphasize the specifics of the SSCs and MSCs, and then we narrowed it down to “Service Supply Chains". After that, we used more keywords to filter out according to the requirements of this paper, for example we searched “opportunities and challenges in outsourcing”, “challenges in Service Supply Chains,” “risks in Service Supply Chains,” “outsourcing” and "competition in Service Supply hains”. Meanwhile, we altered the terms in different ways to extract the most relevant literature that can be used to have a better understanding of the topic with an aim to elaborate it further. As proposed by Easterby-Smith et al. (2015), we used mind maps to visualize the relationships between those keywords for better understanding. Thus, we used synonyms, alternative terminologies, as well as words with different prefixes and suffixes (Easterby-Smith et al., 2015) such as “outsourcing,” “outsourced,” and “outsource”.

Besides a systematic literature review method, we also used a snowballing method to browse relevant literature, where we found more research papers that provide some theoretical insights, such as “Application of Agency Theory in SSCs”. This was done since we’re going to analyse the findings from the theoretical lens of agency theory. Snowballing refers to a method used to expand a literature search by starting with a few key articles or sources and then gradually adding more sources based on references and citations found in the initial set of articles (Easterby-Smith et al., 2015).

With a comprehensive literature review, we identified the existing research gaps that scholars haven't paid attention to yet. Google Scholar and JU Primo were mainly used as browsers for these searches. Since the research on SSCs is not a very prominent talk of town, we tried to review all the prominent literature written in the last three decades pertinent to this term focusing on the most cited ones. The systematic literature review with a blend of snowballing method, we could optimize the reliability, reproducibility, and transparency (Paul et al., 2021) in our research. Particularly, these methods helped us identify the key scholars in the field of SSCs and to find more reliable pieces of literature.

The literature that we have found helped us to understand the concept related to Supply Chain and Services Supply Chain. Thus, literature review paved a way for us to develop useful questionnaires for interviews and make analysis of the findings. Therefore, we have conferred concepts related to Supply-Chain, Services Supply Chain with its attributes, strategic outsourcing, competitiveness in Services Supply Chain as well as agency theory to answer the research question by contributing to fill the existing gaps in previous literature.

2.2 Supply Chain Management

Supply Chains (SCs) have a history that dates to the early beginnings of the textile industry and in the 1980s SCs became popular because of the benefits of collaboration and integration (Lummus & Vokurka, 1999). A lot of research has been done in the domain of “supply chain” (Janvier-James, 2011; Mentzer et al., 2001) since then. Harrison & Hoek (2011) have presented that an SC implies a collaboration of stakeholders working together to transform raw materials (upstream) into a final product (downstream) desired by end-users, while also handling returns at various points along the process. The figure 1 shows upstream and downstream from the point of raw material to the end customer.

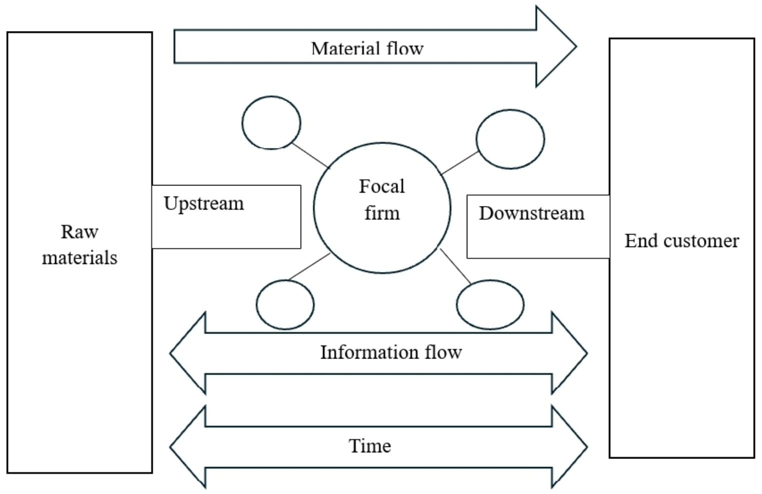

Figure 1 Upstream and downstream of SCs

Upstream and downstream from the raw material to the end customer (adopted from Harrison & Hoek, 2011).

When we talk about Supply Chain Management, it involves planning and controlling procurement, conversion, transportation, and distribution processes within a supply chain, fostering coordination among partners including suppliers, intermediaries, third-party service providers, and customers (Harrison & Hoek, 2011). Traditionally, the term SCM was mostly used in the domain of manufacturing industries rather than service industries (Lin et al., 2010). Thus, SCs have been mostly considered to be limited to the MSCs and therefore the SCs highly prioritized the activities related to purchasing, distribution, and logistics (Sengupta et al., 2006). However, recent growth of service industries in the last couple of decades or so has shifted the focus of researchers towards SSCM considering the evolution of the services-supplying industries (Lin et al., 2010). Thus, some scholars have realised the importance of SSCs considering it a vital aspect for having and retaining competitive advantage of the firm (Zhang & Chen, 2015).

2.3 Service industry

For understanding SSCs, it is important to have a look at what literature says about service-based industries because management applications have historically focused more on SCs for manufactured goods rather than services. The research proves that services are becoming increasingly important to the economy, with significant job growth and GDP contribution coming from the services sector (Ellram, 2004). In Europe and the United States, services, especially knowledge-intensive industries, dominate the economy and employment (Lee et al., 2006). Further, technology plays a significant role in this service revolution, leading to greater efficiency, lower costs, and increased automation, especially in the manufacturing industries which are shifting to both service and product manufacturing (Lee et al., 2006). Examples of the most common service industries are on-demand platforms, travel and tourism industry, information technology (IT), transportation and logistics services, entertainment, media, sports, healthcare, finance, different kinds of consultancy businesses, energy, and retail sectors. At the same time, the industries that are playing in both services and manufacturing products can be recognized by supplying physical products with after-sales services, maintenance services, and value-added services (Choi, 2022).

2.4 Business services

To narrow down the services to be made part of SCs, let's get some understanding of the business services to elaborate on what we mean to have in this paper. The meaning of "business" or "business process" can change depending on the context of the person using it (Darmawan, Cox, & Ragab, 2004). For instance, sales or a Sales Manager, business might be about figuring out sales targets, while for a Warehouse Supervisor, it could be all about keeping track of inventory. In this paper, we've mostly focused on different services as in business functions that are made part of SCs of the firms. These business services or functions of the business are incorporated in various categories of professional services such as engineering, HR, ICT, marketing, logistics, finance & accounting, and facilities management, that are exchanged between organizations (Arjan & Weele, 2022). Thus, literature tells us that business services have expanded from traditional non-product-related areas like cleaning and security to becoming integral to companies' value propositions (Arjan & Weele, 2022). Most companies are willing to outsource some of the functions in order to stay focused on their core activities (Arjan & Weele, 2022). The market of these outsourced services is expanding rapidly, especially in developed countries like Sweden.

According to Arjan & Weele (2022), companies have been increasing their spending on business services over time. Traditionally, the contracted services were mostly related to supporting activities, while the core activities remained in-house. Nowadays, the trend is seen that the primary activities in a company's value chain are also being outsourced (Arjan & Weele, 2022). Especially during the COVID-19 pandemic, there was a notable trend when many pharmaceutical companies collaborated with external research labs and contracted with research organizations for clinical trials, impacting time-to-market for vaccines (Arjan & Weele, 2022). However, this trend is not new; the companies in the pharmaceutical industry have been engaging in such contracts in the past as well (Arjan & Weele, 2022). With this paper, we attempted to figure out why the companies are still considering the outsourcing of business services in their services supply chain valuable and how is it a useful way to stay competitive against rivals.

2.5 Service Supply Chains (SSCs)

Ellram et al., (2004) elaborated that SSC includes the coordination of service providers, suppliers, intermediaries, and customers to ensure the efficient flow of information, materials, and processes, ultimately resulting in the creation and delivery of value-added services. They also highlighted that SSCs can be further divided into two branches: Service Only Supply Chains (SOSCs) and Product-Service Supply Chains (PSSCs), which have been expanded upon in subsequent headings. SOSCs, as characterized by Baltacioglu et al. (2007) and further elaborated by Demirkan and Cheng (2008), represent supply chain systems where the primary products are pure services, devoid of physical products. In SOSCs, the network involves suppliers, service providers, consumers, and supporting units, facilitating transactions of resources needed for service production, their transformation into supporting and core services, and ultimately, delivery to customers (Ellram et al., 2004). Practical examples of SOSCs are evident in industries providing different kinds of consultancies including financial, legal, management, and the like, telecommunications and internet services, web and mobile app development, and travel and tourism. Companies providing cleaning, repair & maintenance of different types of equipment used in domestic or commercial markets, as well as event management firms are also operating in the service industries, and therefore their services can also be part of SSCs of different organizations. According to Ellram et al., (2004), this kind of supply chain is considered to be the most uniform type of SSC, with a primary focus on managing services.

On the other hand, PSSCs, as described by Ellram et al., (2004), Sampson & Spring (2012), Wang et al. (2015), and Liu et al. (2016), manage both physical products and significant service components. In PSSCs, the supply chain systems integrate services alongside tangible goods, leading to a more comprehensive management approach. This involves overseeing information, processes, capacity, service performance, funds, and the forward and reverse flows of tangible goods throughout the entire supply chain, from the initial supplier to the ultimate end customer (Ellram et al., 2004). PSSCs find applications in various sectors such as restaurant and food retail SCs, product design and retailing SCs, mass customization operations across different industries, and logistics service providers. The industries engaged in SOSCs and PSSCs are shown in figure 2.

	SOSC	POSC
Scope	The products are pure services and physical products do not play a role	Physical products together with significant service considerations
Examples for industries	Tele-communication Internet services Tourism Mobile apps Finance	Restaurant and food Product design Mass customization Logistics service providers

Figure 2 SOSCs and PSSCs with examples of the industries (Ellram et al., 2004)

2.5.1 Characteristics of SSCs

Truong & Hara (2018) have presented some unique characteristics of SSCs that differentiate them from MSCs. These characteristics include the inseparability of production and consumption, perishability, heterogeneity, and inventorability, which have been explained below from the available literature for better understanding of the concept. Additionally, scholars such as Lovelock & Gummesson (2004) and Avery & Swafford (2009) have highlighted more traits like intangibility and labor insensitivity, further illustrating the distinctions between SSCs and MSCs. A fundamental difference between the two has been recognized by Aitken et al. (2016), which lies in the managerial and structural approaches influenced by customer involvement, whether through a product-focused view or a customer-derived activity view. Moreover, Vilko & Ritala (2014) have emphasized the significance of these unique characteristics in managing supply chain risks within SSCs. They identified four specific characteristics: intangibility, heterogeneity, inseparability, and perishability; collectively referred to as IHIP attributes. All of these characteristics play a pivotal role across various stages of SSCs, including service processes, offerings, systems, and risk management strategies, underscoring the distinctive nature of SSCs when compared to MSCs. These

differentiating features have been expanded one by one below. Understanding these concepts can enhance the significance and reliability of our research approach that guided us through the entire research process, from formulating research questions to collecting the data from interviewees and then analyzing it, and ultimately drawing conclusions.
Some details of these characteristics as explained by several researchers have been presented here under:

2.5.1.1 Inseparability

The inseparability of production and consumption implies that the production of the service and its consumption are connected and cannot be easily separated in terms of the customer's presence, role as a co-producer, and interactions with employees and other customers as an integral part of the service delivery process (Lovelock & Gummesson, 2004). Coproduction refers to customers performing tasks provided by the service provider, leading to productivity benefits but also managerial challenges (Lovelock & Gummesson, 2004). It is a collaborative process where service providers and service users (customers or clients) actively participate together in the creation and delivery of a service. It involves both parties contributing resources, knowledge, and efforts to produce the desired service outcome (Lovelock & Gummesson, 2004). For example, when a patient seeks medical care, the doctor asks the patient to do certain tasks such as do regular exercises, or make a diet plan, etc. However, some researchers have presented a similar characteristic of customer-supplier duality by describing the role of the customer as an input as well as an output (Avery & Swafford, 2009). Nevertheless, some specific services exhibit separable features. Separable services exist where production and consumption are not simultaneous, such as laundry, car oil changes, and parcel delivery, where customers pay to avoid direct involvement (Lovelock & Gummesson, 2004).

2.5.1.2 Perishability

Perishability refers to services that cannot be saved, stored, resold, or returned like physical goods (Lovelock & Gummesson, 2004). This feature emphasizes the time dependency of services and the challenge of managing demand and available capacity effectively (Lovelock & Gummesson, 2004). These characteristics exhibit significant differences between manufacturing industries and ultimately lead to different approaches to managing SCs. The concept of perishability applies differently to producers and customers in services, but both relate to the passage of time (Lovelock & Gummesson, 2004). For instance, in health care services, the surgery service is perishable from the perspective of the service provider (doctor) but long-lasting from the perspective of the customer (patient). So we can say that while many services provide temporary experiences, their actual outcomes can be lasting. However, certain services, such as education or entertainment, can be recorded or turned into products that can be used again (Lovelock & Gummesson, 2004). At the same time, from the perspective of inventory, SSCs exhibit significant differences considering that services do not have physical inventory costs like goods, but they face challenges in efficiently utilizing capacity (Lovelock & Gummesson, 2004). Therefore, managing inventory and associated costs are significant expenses for manufacturers, whereas service firms invest in maximizing capacity utilization, such as through employee development or facilitating employees' roles. Thus, services are perishable because they are required at particular times, which can result in queues forming. These queues serve a similar purpose to inventory in MSCs, helping to handle uncertainty in demand (Aitken et al., 2016).

2.5.1.3 Heterogeneity

Heterogeneity refers to the individualized needs of each customer, necessitating tailored services (Avery & Swafford, 2009); which means there is a challenge in achieving uniform output (Lovelock & Gummesson, 2004). Unlike manufacturing industries, heterogeneity influences labor-intensive services, where variations exist not only among service workers but also between interactions with the same employee and on different days (Lovelock & Gummesson, 2004). However, variability is less noticeable in machine-intensive service industries (Lovelock & Gummesson, 2004). The notion of heterogeneity in service industries exhibits significant differences compared to the manufacturing industries due to worker performance, including variations in customer demands and experiences, as well as external factors like weather and crowding (Lovelock & Gummesson, 2004). Nevertheless, customization strategies, common in both manufacturing and services, aim to address individual customer needs to some extent (Lovelock & Gummesson, 2004). For instance, the customized orders on dress design or on a larger scale, manufacturing companies have customized machines that are specific to certain manufacturers.

2.5.1.4 Inventoriability

The distinction between Manufacturing and Service Supply Chains also lies in the inventoriability of the end product. Service entities differ from manufacturing entities in this aspect: while service products are consumed immediately and cannot be stored, goods produced by manufacturing firms can be stored for future use (Terzioglu & Chan, 2013). Previous section regarding the perishability have given insightful comparisons between SSCs and MSCs in terms of inventory.

2.5.1.5 Intangibility

Intangibility is one of the key attributes of service industries, which implies that they do not necessarily need to have a physical presence (Vilko & Ritala, 2014). However, some services, like airlines and hotels, may have tangible elements, but others, such as consulting and teaching, are completely intangible (Vilko & Ritala, 2014) unless the contents are made available in recorded form. Unlike manufacturing industries, service-oriented firms rely heavily on intangible resources, valuing them as their most valuable assets, such as the expertise and skill set of their staff and decision-makers (Vilko & Ritala, 2014). For instance, in service industries, intangible elements such as training, education, competencies, and skills contribute to the value of the end customer. In contrast, in manufacturing industries, tangible elements such as innovative machines and raw materials contribute value to the end customer.

2.5.1.6 Labour-intensity

Service industries are more dependent on labour than manufacturing industries (Avery & Swafford, 2009). In fact, MSCs use more machines to serve the end customer, while SSCs mostly use employees to fulfil customer requirements. Therefore, in SSCs, it remained difficult to utilize automation to serve the end customer. For example, the service of a hairdresser or a physician's consultation cannot be automated; nevertheless, in manufacturing industries, machines can replace manpower (Avery & Swafford, 2009). Hence, labour concerns are a major portion of the operating expense of a service operation (Avery & Swafford, 2009). However, with an increased use of AI in recent years it can be expected to have a reduced labor intensity in service sector likewise in manufacturing sector.

2.6 Service Supply Chain Management (SSCM)

According to CAPS Research (2003) and Ellram et al., (2004), the services industry is multifaceted, with services typically procured and overseen by various departments within an organization rather than centrally managed. Different business units often opt to procure services tailored to their specific needs. For instance, the IT department may handle the procurement and management of IT consultants, while human resources oversee payroll, and travel arrangements are managed independently. SSCs encompass a comprehensive network of activities occurring within professional services (Ellram et al., 2004). According to Lie et al., (2017), the management of these activities involves various aspects such as information, process, competency, service performance, and treasury management, extending from upper-stream suppliers to downstream customers. Some key elements, such as bidirectional optimization, perishability, and simultaneous management of capacity and demand, distinguish SSCM from traditional SCM (Shahin, 2010). In addition, unlike MSCs, in SSCs the customer interface and involvement are crucial. This interface and involvement heighten opportunities for companies to gain competitive advantages by implementing customer-centric knowledge management strategies (Shahin, 2010). The technological innovations such as the internet and wide-area wireless connectivity enhance the involvement of customers in service companies and incorporate knowledge management strategies (Shahin, 2010). However, the main concepts of SCM apply to SSCM; nevertheless, SSCM adapts its strategies and tactics to fit the unique needs of service delivery, which can be quite different from delivering physical goods (Shahin, 2010) Also, PSSCs prioritize achieving economies of scale and efficiency by managing materials, SSCs prioritize achieving economies of scope and effectiveness through managing capacity (Yücesan, 2023). To sum up, while both SSCM and SCM adhere to the same fundamental principles, the unique characteristics of SSCs demand distinct management approaches, which makes the human involvement more crucial in SSCM.

2.7 Service Supply Chain Integration (SSCI)

Before delving into the Services Supply Chain Integration (SSCI), it is essential to examine the Supply Chain Integration (SCI), considering the applicability of basic SCM principles to SSCM. SCI is defined as aligning, linking, and coordinating processes, people, information, and strategies across the supply chain to efficiently meet customer needs (Khanuja & Jain, 2019). It involves aligning and coordinating various elements of the SCs to ensure seamless operations and satisfy the needs of end customers effectively (Harrison & Hoek, 2011). In order to meet the needs of the end customers, the SCI integrates internally, externally, and electronically (Harrison & Hoek, 2011). Thus, with globalization and advancements in information technology, SCM has evolved into a competitive tool for organizations, emphasizing collaboration and integration with external partners (Khanuja & Jain, 2019).

SCM contributes to managing resource flows from suppliers to customers, with strategic collaborative integration being crucial by encompassing strategic intra-firm and inter-firm collaborations, focusing on alliances, information, and process integration (Wang et al., 2018). Further, strategic alliances involve joint decision-making and planning for long-term benefits such as market access and competitiveness (Wang et al., 2018). According to Khanuja & Jain (2019), collaboration and integration in the supply chain of a firm enhance organizational performance and competitiveness by streamlining internal and external activities. The researchers have also focused on the reasons for the integration of SCs considering the previous research on the subject. They found and argued that previous studies have categorized SCI differently, such as functional, operational, and relational dimensions, or internal and external integration considering the scope of the integration. Whereas, some other researchers have highlighted the importance of SCI considering the firms' expectations and post-implementation (Khanuja & Jain, 2019).

With the above assertions, it can be deduced that the literature suggests that the management of SSCs is similar to the management of traditional SCs. However, characteristics such as intangibility, heterogeneity, inseparability, perishability, customer participation, and difficulty of quality evaluation are required to be taken into consideration when applying the management implications of traditional SCM on SSCs (Wang et al., 2018).

Another aspect of SSCI expresses the importance of Individual-level Partner Relationships (IPRs) considering the role of customers as both input providers and output consumers in SSCs (Wang et al., 2018). Nevertheless, it leads to unique challenges in evaluating service quality (Wang et al., 2018). Although SSCI involves integrating partners across the SC, unlike MSCs, it is quite challenging to achieve integration across the entire supply chain (Wang et al., 2018). Hence, many researchers have concerns about specific aspects of suppliers or customer integration, highlighting the role of the individuals such as service managers and relationship managers in considering the planning, implementing, and controlling integration practices (Wang et al., 2018). The integration of partner relationships is influenced by personal affection, personal credibility, and personal communication, highlighting their importance in fostering trust, commitment, and effective communication between partners (Wang et al., 2018). In SSCs, it is essentially important to be concerned about the managerial role as well as individual attributes considering the significant impact on SSC integration.

2.8 Essential components of Service Supply Chain

The general definition of SCM covers the management of information, processes, goods and funds, starting from the first ever supplier to the final customer in the supply chain, as discussed earlier. Applying this definition to the services sector and taking into account the differences and commonalities of services and manufacturing supply chains, Ellram et al., (2004) presented the definition of SSC that encompasses the oversight of information, processes, capacity, service performance, and financial resources across the entire spectrum, starting from the earliest supplier and extending to the ultimate customer. Among several commonalities and differences between manufacturing and services supply chain, we know that they share a common challenge: effectively coordinating numerous processes across organizations and functions to meet the uncertain demands of customers (Ellram, et al., 2004).

Effective supply chain management in professional services involves several key components including information flow, management of capacity, skills, cashflows, and demand, relationship with customers and suppliers. Information flow plays a crucial role in setting expectations, defining scope, and monitoring performance, reducing uncertainty and risk (Lee and Billington, 1995; Davis, 1993; Scott and Westbrook, 1991). Capacity and skills management are vital for service providers to differentiate themselves and meet customer needs (Bitner, 1995). Demand management focuses on understanding and meeting customer demand, requiring flexibility and planning (Davis, 1993; Supply-Chain Council, 2004). Customer relationship management emphasizes understanding and meeting customer needs to enhance satisfaction and profitability (Srivastiva and Shervani, 1999; Bitner, 1995). Supplier relationship management involves identifying needs, selecting suppliers, and ensuring clear service level agreements (LLlram and Billington, 2002). Service delivery management ensures promises are met through effective communication, monitoring, and payment based on performance (Zeithaml and Bitner, 2003; Bitner, 1995). Finally, cash flow management involves timely and appropriate payments based on performance (CAPS Research, 2003). These components work together to streamline operations and maximize value in professional SSCs.

2.8 Strategic Outsourcing in SSCs

Businesses of all sizes, from new startups to big companies, need to think carefully about how they operate. They have to decide what tasks to do themselves and what to get from others and figure out the best way to get the things they need to keep customers satisfied, grow their business, and stay ahead of the competition (Arjan & Weele, 2022, p.76). In recent years, businesses have shown significant change, in terms of profitability and productivity; hence, firms are moving towards outsourcing (Lu et al., 2014). Therefore, most of the SCs (businesses) send their part of the activities to the outside of the business to eliminate costs and maximize profits. Considering those benefits, businesses use outsourcing as a competitive strategy (Lu et al., 2014).

Outsourcing exhibits specific characteristics such as transferring in-house activities/assets/ knowledge, and sometimes personnel to external parties, establishing long-term relationships, exposing buyers to new cost and risk profiles, and necessitating a complex transition process impacting various stakeholders' roles and positions (Arjan & Weele, 2022). Thus, outsourcing can take various forms, such as offshoring, nearshoring, and onshoring, each holding both challenges and benefits (Arjan & Weele, 2022). Integral outsourcing involves delegating the entire function to an external provider, including management and coordination, while partial outsourcing entails only specific activities being outsourced, with integral outsourcing being particularly applicable in areas like facilities management (Arjan & Weele, 2022).

2.8.1 Challenges associated with outsourcing services

Outsourcing plays not only an important role within the domain of MSCs but also within the SSCs (Choi et al., 2016). When procuring goods, it is generally straightforward to evaluate adherence to contractual terms and determine if the supplier has fulfilled their obligations. Once both parties agree on the quality and quantity of goods received, payment typically ensues. However, when it comes to sourcing services, pinpointing the exact moment when the service provider meets the customer's expectations isn't always clear-cut. Defining when the service is delivered to satisfaction poses a significant challenge (Ellram et al., 2004; Arjan & Weele, 2022).

In practice, it's nearly impossible to draft clauses that anticipate and address every potential issue or misunderstanding that could arise in service contracts. This is due to the complexity of services, which are often intangible and multifaceted, making it difficult to specify every aspect and outcome (Arjan & Weele, 2022). Then, customer expectations regarding services can vary greatly and may be influenced by subjective factors such as personal preferences, cultural differences, and individual interpretations, making it challenging to capture and account for all possible expectations in the contractual language (Ellram et al., 2004; Arjan & Weele, 2022). Moreover, it is also seen that service contracts normally unfold in dynamic environments where circumstances, requirements, and priorities may change over time, making it impractical to predict and address every potential change or contingency in advance. Human factors, such as communication styles, interpersonal dynamics, and human error, further complicate matters, as services typically involve interactions between people (Arjan & Weele, 2022). Finally, the limitations of language itself contribute to the difficulty in precisely conveying complex concepts and expectations, potentially leading to ambiguity and disputes (Arjan & Weele, 2022).

Ellram et al., (2004) have presented the potential challenges in SCM, including lack of clear specifications, financial control challenges, difficulty in developing service specifications, lack of recognition of services management problems, and unfair profit opportunities for service providers arise from unclear service level agreements and scope creep, alongside hidden charges and billing errors. Agency Theory is applied here by, highlighting the potentialities for moral hazard, where service providers may prioritize self-interest over meeting contractual obligations (Ellram et al., 2004). This paper will explore the application of those identified challenges over the competitiveness of the organizations in the domain of the service industry.

2.8.2 Managing Outsourcing Strategically in SSCs

Businesses frequently opt to outsource various functions like human resources, accounting, payroll, engineering, and many others as discussed earlier. The decision is taken when they struggle to effectively manage these areas internally or believe that external providers can offer better performance and cost savings (Ellram et al., 2004). However, the researchers also raised a fundamental question: if a company cannot evaluate and oversee its performance in a specific domain, how can it expect to effectively manage the performance of a third-party service provider in that same area? For instance, if a company decides to outsource its entire recruitment function due to internal management challenges, it faces significant hurdles in comprehending and supervising an external recruitment service provider. Developing a statement of work and service level agreement becomes problematic when the company lacks a clear understanding of its own HR needs. Therefore, Ellram et al. (2004) asserted that effective supply chain management necessitates a deep understanding of its intricacies and careful allocation of resources to control expenditures and other challenges. Yet, research also indicates that many businesses find purchasing services substantially more challenging than procuring goods (Ellram et al., 2004).

2.9 Agency Theory

As indicated in earlier sections, we're going to explore this research from the theoretical lens of Agency Theory. The theory applies in the context of when two parties are in a relationship, particularly when one party (the agent) is entrusted to make decisions or take actions on behalf of the other party (the principal), leading to potential conflicts of interest (Eisenhardt, 1989; Mitnick, 2015). In other words, the agency theory indicates the challenges that arise when one party, known as the agent, acts on behalf of another, termed the principal (Mitnick, 2015). Existing literature explains the origin of agency theory in the 1960s and early 1970s by investigating the risk-sharing among individuals or groups regarding their different attitudes toward the risk (Eisenhardt, 1989). Based on this concept, the researcher also proved that the agency problems arise when considering the confirmation related to the goals and labor between cooperating parties (Eisenhardt, 1989). The problems so emerged emphasize the agency relationship, where one party delegates work to another, aiming to describe this relationship through contractual terms (Eisenhardt, 1989). It is obvious that the service buyer is principal and service supplier is going to be the agent in our research. Figure 4 exhibits the nature of the principal-agent relationship.

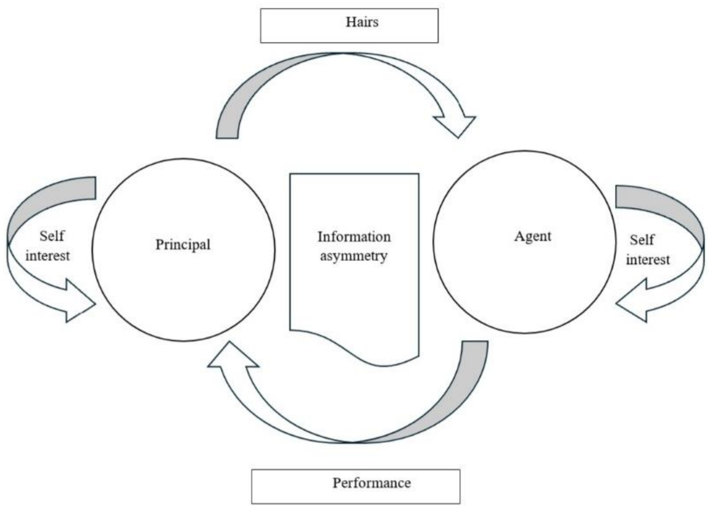

Figure 3 Principal - Agent relationship (Adopted from Jensen & Meckling, 1976)

Agency theory claims that the delegation of work from one party (principal) to another (agent) leads agents to pursue their own economic gains, considering self-interest (Snippert et al., 2015; Notland et al., 2020). The main challenge in agency theory is the goal conflict (conflict of objectives) between agents and principals. Since agents possess more information than principals; this asymmetry of information can lead agents to prioritize their self-interest over the collective interests of the principal, resulting in moral hazard (Snippert et al., 2015). Furthermore, agency theory emphasizes two sides of the issues by considering the tasks and challenges involved in acting for the agent side and the tasks and challenges of guiding and correcting agent actions for the principal side (Mitnick, 2015). These issues related to both the agency and principal incur costs, making it crucial to weigh the benefits of correcting behavior against the associated costs. Factors such as errors in perception, communication failures, and conflicts of interest contribute to imperfect specification and correction attempts (Mitnick, 2015). These details available in the literature helped us develop our questionnaire for interviews to seek specific information about the potential challenges and opportunities the companies face when they decide to outsource some of their functions to external partners.

2.9.1 Agency theory in SSCs

After establishing relevance with our research, let's have a look at the relevance of Agency theory in SSCs. From the insights presented in Ellram et al. (2004), it is evident that most of the challenges appearing in SSCs are associated with the organization's reliability and dependability on suppliers. At the same time, agency theory focuses on how firms delegate tasks to agents and ensure they act in the principal's best interests. In the case of managing supply risk, the purchasing organization (principal) relies on suppliers (agents) to deliver goods and services reliably (Zsidisin & Ellram, 2003).

As previously discussed, service firms are outsourcing certain services in order to stay focused on their core competencies. It may lead to ‘goals conflict’ between agents and principals that can arise due to the inability of the principal to assess the work of the agent and dissatisfaction regarding the costs and expenses (Eisenhardt, 1989). However, this conflict can lead to the outcome of the principal serving the end customer and can be applied to the service industries the same way it is applied to the manufacturing industries (Zsidisin & Ellram, 2003), which ultimately influence the serving to the end customer with uncompleted tasks. The previous literature has come up with solutions to treat the issues related to the delays in SCs by highlighting the importance of buffers (Harrison & Hoek, 2011; Zsidisin & Ellram, 2003). Spare capacity, inventory, and order lead times are considered as possible buffers in SCs (Harrison & Hoek, 2011). Zsidisin & Ellram (2003), has also suggested to keep sufficient inventory as buffer stock and having several suppliers as backup to avoid supply disruptions. Nevertheless, as we have previously discussed, due to the specific characteristics of SSCs such as perishability, heterogeneity, and inventoriability, the agents' service is not possible to keep as inventories, and the solution remains with having different suppliers (agents) to avoid potential disruptions in operations and service delivery.

2.10 Competitiveness in Supply Chains

In the 1990s, organizations experienced the embrace of the global market and intensified competition, which allowed organizations to stay competitive in their SCM (Li et al., 2006). In order to be competitive, companies are linking strategy development and execution, highlighting the company's capability to establish and maintain a superior position compared to its competitors (Putri et al., 2019). Similarly, companies are continuously developing superior competencies that create customer value and lead to cost advantages and differentiation, with the ultimate goal of increasing performance and profitability (Putri et al., 2019). Different strategies are used by companies operating in various sectors considering various dimensions in order to gain a competitive advantage, focusing on key competitive priorities such as quality, time, and cost (Harrison & Hoek, 2011; Putri et al., 2019). More particularly, companies are competing considering dimensions such as competitive pricing, premium pricing, value-to-customer quality, dependable delivery, and production innovation (Li et al., 2006). In this competitive landscape, logistics play a pivotal role in providing products with a competitive edge by ensuring the availability of the product when and where it is needed, ensuring the availability and cost-effectiveness of the product (Harrison & Hoek, 2011). Simultaneously, establishing close relationships with partners also play a pivotal role in competing with rivals. For instance, procurement and outsourcing performance deliver a competitive edge to companies by developing competencies and eliminating costs (Arjan & Weele, 2022). These highlights from the literature were used in the questionnaire developed by us attempting to explore any new information on the subject.

2.10.1 Competitiveness in Service Supply Chains

According to Harrison & Hoek (2011), logistics play a pivotal role in MSCS by delivering value to the end customer while ensuring the quality, price and time incentives. However, in SSCs the logistics particularly in the form of transportation from point A to B may not play pivotal role considering the perishability and intangibility of the services. But the literature has identified sustainable competitive advantages of service industries, apart from logistics as in MSCs, which include specific organizational skills and resources, heightened customer value through differentiation, lower relative cost through cost leadership, and firm-specific drivers of cost and differentiation advantages (Bharadwaj et al., 1993). The researchers have also presented an overview of skills and resources which are important for SSCs to compete with rivals. They advocated that scale effect by achieving a competitive cost advantage by exploiting economies of scale is an essential attribute for SSCs to compete. This factor demands synergies by combining activities or services across different businesses within a firm with an aim to reduce costs (Bharadwaj et al., 1993). Besides cost factor, product, process, and managerial innovations, and information technology are equally important in gaining a competitive edge for SSCs (Bharadwaj et al., 1993). Furthermore, Bharadwaj et al., (1993), claim that brand equity, relationships/precommitment Contracts, corporate culture, and communication also play a crucial role in gaining a competitive advantage in service industries. Similarly, *spatial preemption* which implies ensuring the secure facilities for customers can be useful for creating a competitive advantage in service-based industries (Bharadwaj et al., 1993). For example, the banking sector always ensure to provide more security and facilities to the ATM cardholders, which serves them to remain competitive in the market against rivals. Finally, organizational expertise, in terms of core competencies, is also a highly considerable factor in competing and challenging rivals (Bharadwaj et al., 1993).

Upon reviewing the literature, it was found that MSCs receive more attention compared to SSCs. This gap is particularly evident when discussing outsourcing, where MSCs tend to dominate the conversation in the domain of supply chain. Also, in the literature, outsourcing is portrayed as offering both opportunities and challenges. This highlights the importance of understanding how these factors impact the competitive landscape within organizations, especially in SSCs. Thus, it's crucial to explore how these dynamics influence organizational competitiveness across various service industries. Despite the abundance of studies on SCs from the perspective of MSCs, there's a need to shift attention towards understanding SSCs given the sharp rise of service-based industries in last couple of decades or so, especially concerning outsourcing and its implications for organizational competitiveness.

In narrowing down the existing literature gaps, we've formulated a research question:

How do the opportunities and challenges of strategic outsourcing in service supply chains influence the competitiveness of organizations across various service industries?

3. Methodology

In this section, we have discussed the research philosophy, more specifically some reasoning behind the specific philosophical approaches of ontology and epistemology with rigorous argumentation as to why have we considered them to be relevant to our study. Then, based on the research philosophy, we have developed the research approach and design. The latter parts of the section provide detailed insights into the data collection methods we have used and an insightful overview of data analysis techniques we have employed. At the end of the chapter, a comprehension of the ethical considerations of the research as well as insights into research quality have been made part of this paper making it a reliable study done with the sense of utmost responsibility.

3.1 Research Philosophy

3.1.1 Ontology

In order to create the research design, we delved into the research philosophy by analysing ontology and epistemology. Ontology, that implies the nature of reality and its existence (Easterby-Smith et al., 2015), made it convenient for us to explore into fundamental questions about the nature of reality, exploring assumptions regarding what exists and how it can be understood (Eisenhardt, 2015) pertinent to the research topic. Using the insights presented in Easterby-Smith et al., (2015) and Eisenhardt (2015), regarding the ontological landscape and after exploring various options with an aim to go with the most relevant one and considering the truths and facts regarding the reality and its existence, we chose to proceed with relativism ontology. Relativism posits that there are multiple truths or perspectives rather than a single objective truth and suggests that truths and facts are shaped by human perspectives and cultural contexts, implying that reality is subjective and varies depending on the observer's viewpoint (Eisenhardt, 2015). The reason for proceeding with relativism is that we believe that there are numerous truths regarding the opportunities and challenges associated with outsourcing. Thus, these truths are subjective and shaped by the perceptions of the participants. Moreover, participant's perceptions and knowledge is shaped by the individuals' attributes such as experiences, culture or gender. This explanation served the basis to design our research and fell directly relevant to what we initially planned to explore out of this study as we wanted to delve into diverse perspectives and interpretations that individuals and organizations may have regarding outsourcing within SSCs. This approach encouraged us to explore the complexities of outsourcing within SSCs from a distinct and multifaceted perspective, rather than seeking a single objective truth. It also opened possibilities for us to investigate how cultural, social, and organizational differences impact outsourcing decisions and outcomes, leading to a richer understanding of the subject matter.

3.1.2 Epistemology

Epistemology focuses on the methods and principles of knowledge acquisition, addressing how we come to know and understand the world around us (Eisenhardt, 2015). In simple terms, Al-Ababneh (2020) explained epistemology as the one which explores how we understand knowledge and what it means to know. Out of the three epistemologies, namely objectivism, constructionism, and subjectivism (Easterby-Smith et al., 2015), we employed social constructionism, which is a theory suggesting that what we perceive as reality is shaped by our social interactions and language, rather than some inherent truth. This means that concepts like gender, race, and even reality itself are constructed by society's norms and values, rather than being naturally or objectively determined (Easterby-Smith et al., 2015). When we looked at agency theory and compared it with social constructionism, we found a connection. Agency theory, which examines how individuals make decisions within organizations, can be understood through a social constructionist perspective. This means that individuals' behaviors and choices in organizations are influenced by the socially constructed norms, roles, and expectations around them (industrial dynamics), rather than being fixed or absolute.

Another reason for proceeding with social constructionism is that we chose interviewees who are part of the operations and actively contribute to the development of their organizations. Thus, we believe that perceptions of outsourcing opportunities and challenges are shaped by social, cultural, and organizational contexts (Saunders et al., 2007), which we aimed to explore from a number of interviews with industry practitioners. This epistemological approach motivated us to explore how different stakeholders define and negotiate outsourcing practices within SSCs, considering their diverse perspectives and meanings attributed to outsourcing. Further, considering its emphasis over the role of language, communication, and shared understanding in shaping knowledge about our research area, we aim to uncover the dynamic and socially constructed nature of outsourcing phenomena, contributing to a deeper understanding of its complexities and implications in SSCs.

Considering the research ontology and epistemology, we took an inductive approach to contribute to developing a new theory regarding outsourcing in SSCs (Saunders et al. 2007).

The figure 5 shows our research methodology with the choices of research philosophy, research approach, research design and data analysis

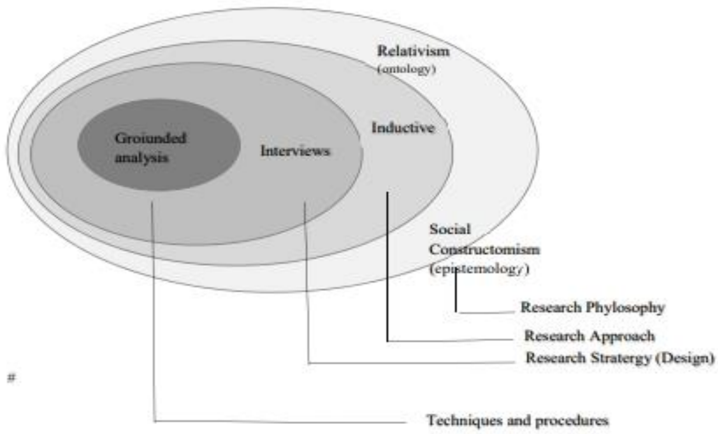

Figure 4 Methodology with the choices of research philosophy, research approach, research design and data analysis (According to the research onion Saunders et al. 2007).

3.2 Research approach

Methodology outlines the overarching framework for conducting research, encompassing the strategies, procedures, and techniques employed to investigate specific phenomena (Eisenhardt, 2015). We proceeded with inductive approach with qualitative data collection. The reason for the selection of inductive approach with qualitative data collection is that
our research is contributing to build a new theory with an insightful framework in the domain of SSCs, as suggested by suggested by Saunders et al. (2007). Using an inductive approach, we chose to proceed with a qualitative data collection method, which can be employed to gather rich, detailed insights into individuals' experiences, behaviours, and perceptions. Research suggests that qualitative methods, such as interviews, are particularly valuable when exploring intricate or sensitive topics where participants' voices and perspectives are central to the research inquiry, fostering a more holistic comprehension of the subject matter which is where our chosen ontological research philosophy lies (Seidman, 2006; Taylor, 2005; Easterby-Smith

et al., 2015; Eisenhardt, 2015). In line with this approach, we aimed to explore the complexities that managers face when they decide to go with the decision regarding outsourcing of one or more functions in the services supply chain of their organization. At the same time, we attempted to explore the opportunities they get to gain more competitive advantages and grow their business. Participants, including managers, practitioners, and industry experts, can provide valuable insights into the challenges faced, such as coordination issues, quality control concerns, and non-alignment of interests, as well as potential opportunities, such as cost savings, specialization benefits, access to expertise, and more. By engaging directly with those immersed in the field, we aimed to uncover intricate details, identify emerging trends, and generate actionable recommendations to inform strategic decision-making in outsourcing practices within the services sector.

3.3 Research design

To collect qualitative data, we decided to conduct interviews, which offered us a platform of qualitative inquiry for in-depth exploration of the multifaceted dynamics inherent in strategic outsourcing within the SSCs. The reason for choosing interviews was to capture the nuanced perspectives of key decision makers actively involved in the process of outsourcing in services industries. The interview sample was chosen by the nonprobability sampling method, which has been argued upon in detail in the later parts of this paper. It offered practical advantages, allowing us to swiftly gather insights from individuals readily available within the target population. Most of the interviews were conducted via online platforms available such as Zoom and Team meetings. However, a few interviews were also conducted in face-to-face meetings with our participants. A semi-structured questionnaire had been used consisting of some open-ended questions surrounding the research topic. By incorporating semi-structured open-ended questions into the interview protocol, we could gather some rich and diverse responses, encouraging participants to elaborate on their experiences, perceptions, and insights (Taylor, 2005).

In the process, we recorded the answers with the consent of the interviewees following ethical considerations which have been discussed later and ensured confidentiality and transparency in data collection procedures. Recorded interviews were then transcribed into written form, which paved the way for careful analysis and interpretation, facilitating the application of grounded theory methodology. We chose grounded theory methodology for our research because of its property that enables researchers to uncover theory directly from empirical data (Glaser &

Strauss, 2017). It offers a systematic approach to analysing qualitative data, enabling researchers to identify patterns, themes, and relationships within the data without imposing preconceived notions or theoretical frameworks.

3.4 Data collection methods

Understanding of ontology and epistemology made a way for us to develop a path for successful data analysis by giving insights into the selection of most useful data collection methods for our research. Considering the attempts to build a theory with an inductive approach, we chose to proceed with qualitative data for some reasons as proposed by Mezmir (2020). Firstly, it aims to explain a phenomenon in detail, focusing on individual or group experiences; and secondly, it helps to explore the factors underlying observed differences, seeking explanations for variations in experiences. Finally, it suggests a pattern to develop theoretical frameworks based on empirical analysis, such as theories explaining the phenomenon of displacement. Considering these reasons, we adopted a qualitative data collection approach with the help of interviews as a method to collect data. As Saunders et al., (2007) highlighted the fact that an inductive research approach encourages the gathering of data through methods such as interviews to better understand the problem. The discussion on interviews, sampling techniques and criteria for selection of samples etc continues in the subsequent sections.

3.4.1 Interviews

Primary data collection is done with interviews. All the interviews that we conducted were approximately 60 to 100 minutes long. To gather data through interviews, we used semi-structured questionnaires with a number of open-ended questions to get insightful responses from participants. Open-ended questions provided respondents with the opportunity to express their thoughts, feelings, and experiences in their own words (Taylor, 2005). This approach enabled us to delve deep into rich and detailed insights of respondents' perspectives, allowing for a deeper understanding of the opportunities and challenges they face in the decision to outsource any service in the supply chain. Since we are willing to contribute to an exploratory study, we adopted semi-structured interview questions considering that exploratory studies benefit from in-depth interviews to uncover new insights (Saunders et al., 2007). To increase the reliability and credibility, we have interviewed participants from different backgrounds working in different companies that are actively involved in service industries such as financial advisory services, logistics services, media & advertising, business consultancy, food & restaurants, and companies offering services related to logistics support etc.

The pre-prepared questionnaire allowed the participants to speak freely with their experiences and perceptions. For example, here are some sample questions that we used in order to gain more insights from the managers.

"What factors do you consider in the selection of a service provider?"

"Have there been challenges in maintaining control over outsourced functions?"

The detailed questionnaire of the interviews has been attached as the appendix 3 for reference.

3.4.2 Sampling

At the planning stage for our research, we considered two main sampling methods: probability and nonprobability sampling (Saunders et al., 2007). Both probability and nonprobability sampling aim to estimate population characteristics accurately (Cornesse et al., 2020). After thoroughly reviewing our research approach, we decided to adopt the nonprobability sampling method considering the situation and demand of our research, which was not possible or appropriate to select samples statistically at random (Saunders et al., 2007). Using non-probability sampling, we selected individuals for the sample of industry practitioners based on various criteria, such as their experiences and expertise in the research topic as well as their willingness and ability to participate in the study. These decisions were made purposefully by us and may not involve random selection from the population (Saunders et al., 2007; Rai & Thapa, 2015). We used different sampling techniques either individually or in combination thereof under non-probability sampling to select participants as interviewees for the purpose of conducting this study. These techniques include Purposive, Criterion, and Snowball sampling (Saunders et al., 2007).

We chose a purposive sampling technique in combination of criterion sampling to proceed with selection of individuals as participants of study. Purposive sampling, also known as judgmental sampling, encouraged us to use our judgment to select cases that could best address our research questions and objectives (Saunders et al., 2007). Criterion sampling was also combined with purposive sampling in which we established the specific criteria to determine the relevance of participants to our study based on their qualifications, current or previous job experiences, their current or previous job roles, and purposefully searching for individuals from the kind of organizations that could be suitable to our research area. In particular, we searched for individuals working as either strategists, operations managers, procurement / purchasing managers, outsourcing managers, and / or supply chain managers as well as any other potential fit from organizations having key say in decision making with at least 02 years of work experience in the field. This was done purposefully after reviewing our research question and the domain of study carefully. Considering the reliability, we were willing to conduct interviews with the people working at managerial level or above, specifically those who were or might have remained officially responsible for outsourcing of some services either in their current job or in past job experiences. The requests to voluntarily participate in interviews were made through emails, and social media platforms followed by subsequent reminders using the same channels or through phone calls and accepted upon by some of the potential participants and declined by the others. Since we made offers purposefully without having any previous contacts in most of the cases, we faced difficulty in getting interviews in bulk at first. Therefore, we decided to also go with snowball and convenience sampling techniques. As presented by Naderifar et al., (2017), snowball sampling involves identifying initial participants who meet the predefined criteria and then asking them to refer other individuals who also meet the criteria. This method is particularly useful for accessing hard-to-reach or hidden populations and for exploring networks or communities where members share similar characteristics or experiences (Naderifar et al., (2017). For this purpose, we asked all participants at the end of interviews for provision of some more contacts out of interviewees' references which proved useful for us as we could get some more interviews using this technique. Similarly, we chose to employ convenience sampling technique, which is also a form of nonprobability or non-random sampling and involves selecting individuals from the target population based on practical considerations of some specific criteria. These considerations may include factors like their ease of access, close geographical proximity, availability during the study period, or their willingness to participate (Etikan et al., 2016). Here we decided to select participants within geographical limits of Sweden, working either in a local company or an international company but taking outsourcing decisions within Sweden.

To make searches relevant to the established criteria, we used LinkedIn as the primary tool. After deciding on the sample and finding the relevant people representing the sample, we reached the potential interviewees through emails, if these were available, beside using the chat options on social media platform, LinkedIn. In order to gather more reliable data, we planned to increase the number of interviews and tried to approach the number of potential participants. However, based on the decided criteria, the contacts we made were limited to the industry practitioners working in service industries based in Sweden only. Thus,we decided to limit our research to a specific size of entities like the Small and Medium Enterprises (SMEs) in Sweden only. Again, because of time constraints and due to the difficulties in approaching potential participants from only SMEs, we had to modify our plans and widen the scope of our research to include SMEs, start-ups, and multinational enterprises (MNEs) to get as many participants as possible.

3.5 Data Collection

14 interviews were conducted with different participants from various organizations operating in different industries in services sector specifically in Sweden. Each interview lasted for around 60 to 100 minutes. Collectively, we did around 17 hours of interviews with those 14 interviewees. Most of the interviews were conducted using digital platforms with some of them conducted in face-to-face meetings with participants, more specifically, we used Microsoft Teams as a digital tool considering the convenience and availability of participants. However, in certain instances we used face-to-face interviews as well.

In qualitative research, data analysis requires systematically organizing interview transcripts, observation notes, or other materials to enhance understanding of the research as suggested by Wong (2008). Therefore, we recorded every interview we made with our participants. Prior to all interviews, we obtained consent from the interviewees to record and transcribe the interviews. The “Record and Transcribe” function in Microsoft Teams was used to transcribe the data in online interviews. At the same time some notes were taken manually, especially in face-to-face interviews, during the process by one of us while the other one was conducting the interview using the questionnaire we developed. This was done to avoid technical errors that could occur such as loss of internet and discontinuation of the interview for any reason. Both of us changed responsibilities in different interviews to ensure equal participation and using a multidimensional approach to our research as both of us could possess different skillset. However, some cross-questions were also asked by the one taking notes during the interview if so was necessary to have a clearer and rigorous understanding of the concepts shared by participants.

The table 1. below show the specific details of interviewees. Anonymity of participants has been ensured to comply with the requirements of GDPR.

Participant ID	Job position	Total experience	Industry	Number of employees	Duration of the interviews
1	Operation Manager	15 years	Financial Consultation	27000+	90 mins
2	CEO / Head of Operations	6 years	Advertising services	15	90 mins
3	Sourcing partner	10 years	Logistics Services	5000+	72 mins
4	Purchasing Manager	18 years	Restaurants & Retail Stores Group	400+	67 mins
5	CEO/ Head of Operations	6 years	Cleaning and Moving Help	10	95 mins
6	Operations Manager	2 years	Business consultation (Sustainability)	10	70 mins
7	Operations Manager	7 years	Moving and logistics support	22	93 mins
8	CEO	18 years	Business consultation	50	90 mins
9	Operations Manager	16 years	Trave/entertainment providers	6	95 mins
10	Hub Manager	17 years	Logistics	200+	63 mins
11	Operations Manager	10 years	Media & Advertising	20	68 min
12	Owner/ECO	12 years	Accounting and auditing	15	65 min
13	Owner	15 years	Restaurants and catering	12	78 min
14	Operations Manager	16 years	Accounting and auditing	20	60 min
Total					1031min /17.18 h

Table 1List of interviewees in detail.

3.6 Data Analysis

Step 1

We started data analysis process by transcribing data. All the interviews were conducted in English considering the convenience and avoiding translation tasks. Most of the interviews were conducted using Microsoft Teams so automatic transcriptions were generated. The auto generated transcriptions are manually checked by both authors. Similarly, the face-to-face interviews were recorded and transcribed and carefully checked with the manual notes we took during the process of interview.

As explained in Easterby-Smith et al., (2015) We went through all available data (transcriptions) at first, including transcribed records and observation notes. Next, we reflected on the data, comparing it to existing knowledge in the domain as found in the literature and questioning its meaning. Importantly, this doesn't mean that we forced a strict framework onto the data, rather we compared the data that's already known from the existing literature. Then, we chose codes for data chunks to develop categories and identify patterns. Through conceptualization, we dug deeper to find patterns to identify important concepts and themes.

In the re-coding stage, we refined the generated codes, in order to be more specific and focused, and aiming to reduce the massive number of codes. We used an iterative process at this stage to be more specific and focused. At the linking stage, we linked ideas, patterns, and concepts to contribute to theory. We required feedback and comments at this stage from each other and from the peers. Finally, in the re-evaluation stage, we reviewed and refined the analysis based on feedback and further reflections.

Step 2

In order to analyze the gathered data, we used grounded analysis, considering its property that involves a more intuitive and open approach to qualitative data analysis (Easterby-Smith et al., 2015). For this purpose, we analyzed the transcription records of the managerial interviews without imposing external structures on the data collected aiming to build a theory or framework from categories grounded in the data itself, as it is proposed by Easterby-Smith et al., (2015). Therefore, we didn't try to fit the data into preconceived ideas or theories. Instead, we analyzed the data carefully and developed theories based on patterns and concepts that emerged directly from the data itself. According to Easterby-Smith et al., (2015), grounded analysis is a practical method for navigating qualitative data to uncover themes, patterns, and categories that can form the basis of theories, presenting seven steps involving familiarization, reflection, open coding, conceptualization, focused re-coding, linking, and re-evaluation (Easterby-Smith et al., 2015).

By combining grounded analysis codes with the Gioia method (Gioia et al.,2013) we presented first-order concepts with codes/data continuously emerging in the entire interview transcripts. Therefore, we critically reviewed the transcribed data and codes. Then we found second-order themes by looking for the emerging patterns and consolidating first-order codes in 2nd order themes. After completing the data collection, we again consolidated second-order data to aggregate themes (concepts). This way, we came up with four aggregated concepts to represent our data.

For example, after reviewing transcriptions and codes, we found that organizations are reducing their labour and other operational costs which we named as “eliminate operational costs”. Similarly, we found that by outsourcing certain functions organizations are able to enhance the efficiency which we presented as first-order code “Efficient Conduct of Business”. Then we consolidate these first-order concepts in to second-order data "Current motives” as we found that these are the aspirations for the organization associated with outsourcing services in their supply chain currently. These second-order themes ultimately lead to aggregated concepts representing reasons for outsourcing that we identified and named as “Context” of the decision.

Finally, we created data structures based on first order concepts, second order themes and aggregate themes. Our complete data structure has been presented in the table 2.

Step 3

We finally analyse and evaluate the findings and data structures in order to be familiar with the findings.

Therefore, our refined data structure appeared to be as follows:

First Order Codes	Second Order Themes	Aggregated concepts
To eliminate operational costs	**Current Motives**	**Context**
Efficient Conduct of Business		
Expansion of Business	**Futuristic Motives**	
To stay competitive		
Focus on Core-work	**Efficient conduct of business**	**Opportunities**
Cost Savings and Improved Efficiency		
Access to external resources	**Continuous Improvement & Adaptation**	
Access to specialized expertise		
Enhanced employer-Brand Perception	**Enhanced brand perception**	
Improved customer satisfaction		
Compliance risk	**Risks**	**Challenges**
Dependency risk		
Imbalance of information	**Conflict of interests**	
Mismatch of Objectives		
Time extensions/delays	**Operational challenges**	
Hidden Costs		
Selection of service suppliers	**Professionalism**	**Mitigating Challenges**
Contract & Legal formalities		
Communication	**Supplier Relationship Management**	
Relationship with suppliers		
Contingency planning	**Risk Management**	
Flexibility & scalability		

Table 2 Data structure

3.7 Research Quality

Guba's (1981) suggested a criterion for assessing the trustworthiness of naturalistic inquiries provides a foundational framework for evaluating the quality and rigor of qualitative investigation. Guba's criteria, including credibility, transferability, dependability, and confirmability, serve as guiding principles for ensuring the reliability and validity of research findings. We used this comprehensive framework for establishing the trustworthiness of our qualitative inquiry and strengthening the validity of contributions to the field of strategic outsourcing in the SSCM.

3.7.1 Credibility

By adhering to the Guba’s criteria, we aim to instil confidence in our study's *credibility* by ensuring that our data collection methods and interpretations accurately reflect the perspectives and experiences of our participants / interviewees. As indicated by Guba (1981), credibility criterion enhances trustworthiness of a study. We employed tactics such as communicating confidentiality measures and offering the right to withdraw from the study at any time to encourage honesty among participants as suggested by Shenton (2004). During data collection, we utilized an iterative questioning approach and asked follow-up questions to gain further clarification and explanation, aligning with our research questions (Saunders et al., 2019). Additionally, we continually compared emerging results and cross-examined participants' responses with existing theory, following a cyclical process suggested by Eisenhardt (1989).

3.7.2 Transferability

To enhance the transferability of our findings by providing detailed descriptions of our research context and methods, allowing readers to assess the applicability of our insights to other settings (Guba, 1981; Nowell et al., 2017). For instance, we employed a purposeful sampling method as we’ve interviewed participants from various industries, keeping track of their individual experiences and background relevant to the subject, making the findings generally acceptable and applicable to the services sector particularly in Sweden.

3.7.3 Dependability

Further, as suggested by Guba (1981), we ensured *dependability* of our research is achieved through meticulous documentation of the research processes, which facilitates transparency and replicability. As Tobin and Begley (2004) suggested, it's essential for our study to be easy to follow and make sense. That means we've carefully explained every step we took in our research, from how we designed it to how we put it into action. By doing this, we're making sure our study is reliable and trustworthy, and readers can understand exactly what we did and why. We've also laid out all the details of the data we collected, so anyone can see exactly where our information came from and how we analysed it, which is in line with Nowell et al., (2017); and Shenton, (2004). This way, we're keeping things clear and transparent, so others can replicate our work if they want to.

3.7.4 Confirmability

Confirmability is ensured by maintaining objectivity and neutrality throughout the research process (Guba, 1981). Findings, interpretations, and conclusions of this research are based on what the participants shared (Guba, 1981; Shenton, 2004; Tobin & Begley, 2004). To keep our study fair and free from any biases, both of us ensured to be present during all the interviews and took part in collecting and analysing data. Though, we took turns in different interviews as one may be asking questions in one interview and the other one taking notes and reminding if something is missed out of questionnaire. Participants were interrupted over and again if discussion was distracted from the topic. This way, we made sure that our research stays true to the experiences of the people involved and in accordance with the purpose of this study.

3.8 Ethical considerations

Ethical conduct in research is vital as it enhances public trust, supports the pursuit of truth and knowledge, promotes values like respect and fairness, ensures accountability, and most importantly, mitigates harm to research subjects (McGregor, 2023). The researcher also asserted that by adhering to ethical principles throughout the research process, researchers uphold the integrity of their work and contribute to the advancement of science and society. During the interview process with industry practitioners involved in strategic outsourcing within SSCs of their organizations, we adhered to a set of ethical considerations as proposed by Easterby-Smith et al., (2021) and McGregor (2023) to ensure the integrity, confidentiality, and respect for participants' rights. Specifically, these were the ethical considerations that we considered and respected to the best of our abilities:

3.8.1 Informed Consent

Prior to conducting interviews, we provided participants with clear and comprehensive information about the research objectives, procedures, and potential risks involved. Participants were given the opportunity to ask questions and provide informed consent before agreeing to participate in the study.

3.8.2 Confidentiality

We assured participants that their responses would be treated with strict confidentiality. Personal identifiers were either anonymized or kept confidential to protect participants' privacy. Confidentiality measures were implemented throughout data collection, analysis, and reporting stages to prevent the disclosure of sensitive information. Compliance with the General Data Protection Regulation (GDPR) was meticulously observed throughout the research process. Measures were implemented to ensure that data handling and processing activities complied with GDPR requirements, including the protection of personal data and adherence to data protection principles.

3.8.3 Voluntary Participation

Participation in the interviews was entirely voluntary, and participants were informed of their right to withdraw from the study at any time without facing any consequences. We emphasized that participation or non-participation would not affect their professional relationships or status within their organizations.

3.8.4 Respect for Autonomy

We respected participants' autonomy by allowing them to express their views, opinions, and experiences freely during the interviews. The questions included in the questionnaire were generally asked with an open-ended approach and participants were encouraged to share their perspectives and opinions openly without fear of judgment or reprisal.

3.8.5 Transparency

We maintained transparency throughout the research process by providing clear explanations of our methodology, data collection techniques, and analysis procedures. Participants were informed about how their contributions would be utilized and the intended outcomes of the research. We also encouraged participants to ask questions and provided detailed responses to ensure a comprehensive understanding of the research process. By fostering open communication and transparency, we aimed to build trust and credibility with participants, thereby facilitating a collaborative research environment conducive to meaningful insights and outcomes.

3.8.6 Avoidance of Harm

We took precautions to minimize any potential harm or discomfort to participants during the interview process. Sensitivity to participants' emotional well-being and experiences was paramount, and we offered support or referrals to appropriate resources if needed. Our proactive approach aimed to prioritize the well-being of participants and foster a safe and supportive environment for open dialogue and engagement.

By adhering to these ethical considerations as proposed by research, we recognized the importance of cultural sensitivity and diversity in our approach to interviewing participants, ensuring that their unique perspectives and backgrounds were valued and respected throughout the research process. Additionally, feedback of the interview was requested to address any concerns or issues that may arise during the interviews, allowing for continuous improvement and refinement of our ethical practices. Our commitment to upholding these ethical considerations not only contributed to the credibility and validity of our research findings but also reinforced trust and collaboration between researchers and participants, laying a foundation for meaningful and impactful research outcomes.

3.8.7 Declaration of AI tools usage

We declare that while writing this thesis, we occasionally used AI tools such as ChatGPT and AI application FIXY in order to check the grammatical errors and fix them. However, we take full responsibility for the content of the publication affirming that the content is original and has been written by us with full dedication and hard work.

4. Findings

This chapter presents the findings of our semi-structured interviews. First, we identified the reasons for outsourcing, termed as 'motives,' through a review of the interview transcripts. Then, we explained the opportunities and challenges managers face regarding outsourcing decisions in SSCs. We explored ways to mitigate these challenges by capitalizing the opportunities shared by the interviewees. All participants openly shared their perspectives on outsourcing, and cross-questions were asked to gain a deeper understanding. The quotes were refined for clarity but maintained the core ideas. Useful propositions have been drawn from the participants' insights.

4.1 Context of Outsourcing decision

From the discussions we made with our interviewees, let’s have a look at what we found as the reasons for companies to think of the decision to outsource. This will serve as the founding block of our understanding of several opportunities and challenges associated with the decision (Leavy, 2004), leading to the competitiveness of the organizations. The thoughts shared by managers / participants gave us information that outsourcing emerges as a multifaceted strategy employed by organizations. The main reasons or motives behind the decision are when organizations want to maintain competitiveness, expand business operations, and enhance efficiency by removing operational costs. Some of the participants highlighted that they are outsourcing some non-core business functions, ranging from human resources, business consultancy for smooth and sound business operations, and IT functions to customer services and administrative tasks. At the same time some participants also told that they outsource their core functions which are their main business activities or service offerings to gain a larger customer base, and covering more geographical limits, aiming to expand the business.

The motives so identified have also been discussed one by one below supported by relevant quotes from the interview transcripts. These reasons were identified when the questions regarding “*why outsourcing of a specific function*” were asked openly from all of our participants. Based on the discussions with participants, the first-order codes were generated relevant to the common rationale behind outsourcing, that were *to stay competitive* in the market, *efficient conduct of business*, *eliminating operational costs* and *expansion of business*.

We have termed them into second-order themes as *current* and *futuristic motives* in our data structure and the following proposition has also been drawn here:

Proposition 1: Organizations strategically outsource functions within their services supply chain to gain competitive advantages, expand their market reach, and optimize operational efficiency.

4.1.1 Current Motives

One of the reasons to go with outsourcing decision that was spoken by almost all participants of the study was related to the efficiency in conducting business operations that they expect from their outsourcing partners. This is done by eliminating inefficiencies by capitalizing the external resources and expertise to enhance their competitiveness as well as by eliminating operational costs. Therefore, the conversation with the participants gave us two first order codes under the theme current motives and these were: *to eliminate operational costs* and *efficient conduct of business*. Both codes are kind of connected to each other and basically have the same or similar meanings as some of the thoughts being shared by interviewees were overlapping. Therefore, we chose to go with two separate first-order codes under one second-order theme. The quotes have been presented from actual conversations for example, supporting the current motives companies or managers associate with outsourcing decision:

"It's [outsourcing is] *definitely more efficient for us rather than doing it ourselves. Because they are the experts when it comes to everything we require from them... Mostly I would say we get more efficient on boarding for the* [newly recruited] *employees. Faster, more efficient, and the employee can focus on work instead of doing you know registration and finding housing (when hired)."* [ID – 1] (Efficient conduct of business)

Similarly, different participants shed light on the importance it brings in reduction of several types of costs involved in their business. They were of the view that by outsourcing some core and non-core services required for the conduct of the business, they can actually eliminate those costs. These costs can be in the form of recruitment of employees, the taxation, logistics and transportation costs involved etc. Following quote is an example of these thoughts:

"When we outsource that function, the vehicles [arrangement], *the material ... all those costs are covered by the supplier company, and not by my company. So we can reduce the cost of*

transportation, and the taxation cost on the employee. These all are covered by our outsourcing [partner] *company."* [ID – 5] (To eliminate operational costs)

4.1.2 Futuristic Motives

Organizations are outsourcing their business functions in order to stay competitive, to deal with competition or to enhance their competitiveness. This reason or motive behind the decision has been shared by some of our participants and named as '*to stay competitive*' as first-order code under the theme *futuristic motives*. The ways of gaining competitive advantages, and discussions on competitiveness have been discussed later. However, here we present what managers responded to when asked why they take this decision to outsource a specific function or service in their supply chain. For example, the following quotation:

"[After outsourcing] *I don't have or don't need to do a service for my vehicle. I don't need oil change or gear oil change or some kind of stuff, but it will be done by this person* [outsourcing partner] *and it will save money for me and let me stay focused".* [ID – 9] (focus on core activities)

Several participants shared their thoughts regarding expansion of business through outsourcing their core functions related to service delivery. The expansion is made possible by expanding their customer base to different cities using partnerships with different firms serving in those cities. By doing this they also eliminate the competition with those companies. So this outsourcing decision gives them two benefits, one to expand the business and two to reduce or eliminate competition with some of their rival firms. Companies with smaller operations and having limited resources normally expand their customer base using this way. Following views can be taken as an example to this:

"We are quite small in size but have the customers all around the Sweden. Mostly we deal in different cities like Jönköping, Gothenburg, Värnamo, Gränna, Borås and many more cities, so it's not possible to send our employees to those cities every time. Therefore, we have contacts with some other companies in the same field with a good experience so that we can outsource

our services, our jobs, our works to those companies to deal with them..." [ID – 5] (expansion of business)

4.2 Opportunities of outsourcing

From the insightful conversations with different participants, it was found out that strategic outsourcing presents several opportunities for companies aiming to achieve their current and futuristic motives. Out of several conversations the specific opportunities highlighted by them were labelled under second-order themes as *efficient conduct of business, continues improvement and adaptation*, and *improved customer satisfaction*. These second order themes have also emerged from different first order codes which can be seen in the data structure. However, the following sub-headings of the aggregated concept 'Opportunities' represent the second order themes.

4.2.1 Efficient conduct of business

Outsourcing ensures valuable for company managers for efficient conduct of business. For instance, the tasks like recruitment and on boarding were outsourced by one of our participant companies. The interviewee expressed that by doing this they aim to ensure that international employees are swiftly on boarded without the hassle of managing personal tasks like finding housing or navigating local bureaucracy. This allows employees to focus on their core work responsibilities from the get-go, leading to increased productivity and job satisfaction. His words were heard as follows:

Participant 6 from a consulting firm was of the following view:
"This company is only two years old, so I would say it's quite still new, which makes it quite natural that we need to focus on our core business for a couple of years first to be able to maybe grow it..." [ID – 6] (Focus on core work)

At the same time, outsourcing can help organizations in saving different types of costs in order to improve efficiency of their business operations. Our findings suggest that outsourcing can lead to significant cost savings by eliminating the need for extensive in-house resources dedicated to some operational tasks related to any service required, either core or non-core. It also allows companies to benefit by the economies of scale and expertise of service providers specialised in providing certain services that result in more efficient processes. Participant with ID 8 shared these views:

"And that way we saw it was more economically beneficial for us. It would save us money compared to if we bring that back in-house." [ID – 8] (cost savings and improved efficiency)

4.2.2 Continues Improvement & Adaptation

Another second-order theme leading to the aggregated concept of opportunities is the continues improvement & adaptation. This was developed from the two first order codes '*access to external resources*' and '*access to external expertise*'. It was shared by some participants that outsourcing some specific functions to external partners gives us the benefit of getting access to external resources in terms of skillset, experience, and abilities they get by outsourcing services to external suppliers. Especially the participants from firms still in the early stages of their foundation (2 years or less), they expressed that they can't acquire those resources in-house permanently. They either don't have sufficient capacity in terms of finances to acquire and space or ability to handle such equipment or resources, which means that they said they cannot afford to have those resources in-house yet. Take following quotation as example:

"Outsourcing maintenance services to specialists of the field has made it possible for us to ensure timely repairs and minimizing downtime in our operations on just one call. Our service providers always keep their staff ready to serve us whenever needed given the nature of operations we have. Then it is their headache how and what number of people to always be available for us whenever needed. Same goes with cleaning services. We are quite satisfied with their performance." [ID – 10] (access to external resources)

Similarly, outsourcing to specialized service providers offers access to expertise that may not be readily available in-house. This thought was shared by almost all interviewees referring to their individual examples out of their business requirements. For instance, a participant shared his views regarding partnering with relocation companies familiar with the intricacies of international moves can streamline the process for employees, ensuring a smooth transition and minimizing disruptions.

Participant 6 was also of the same opinion with these remarks:

"I would say maybe that they are quite spread in their expertise... which is affecting us [positively]*..."* [ID – 6] (access to external expertise)

In response to another question, participant 6 said:

"As of now, we don't have the muscles [capacity and resources] *to have a person like 100% to do those kinds of stuff* [the services being outsourced]. *I would say that it's better for us to outsource it, since these people* [service providers] *are a lot more efficient* [and expert] *in what they're doing in their time than compared to what we would be."* [ID – 6] (access to external expertise)

4.2.3 Enhanced Brand perception

We have derived this second order theme from two first order codes: '*improved employer brand perception'*, and '*improved customer satisfaction'*. From the conversations, we also found that the managers were of the opinion out of their experiences that taking care of employees' well-being and providing seamless support during transitions not only creates a positive work environment but also enhances the company's employer brand. Satisfied employees are more likely to advocate for their employers, positively impacting the company's reputation among clients and potential future talent pool. The following quote is an example to this:

"I think it's …… a better sort of reputation and that you know we care about our employees which I think is important for our clients to know that we invest in our people and we want them to be as well off as possible." [ID – 11] (enhanced employer brand perception)

Likewise, some participants opined in favor of improved customer satisfaction by the way of outsourcing some functions that also leads to enhanced brand perception. Participant 7 spoke about importance of the customer satisfaction in these words:

"We always compensate [our] *customers* [if they're unsatisfied by our work] *because satisfied customer is the basic thing in the business everybody can understand. Customer is the centre of business. If customer is happy, everything is happy, and it could happen. If something damages your relationship with customer, you've to analyse it. We always compensate the customers in that case."* [ID – 7] (improved customer satisfaction)

At another instance, the same participant said, *"if my subcontractor did a good job and I get a good review, it shows that customers were very happy* [with our service delivery]*."* [ID – 7] (improved customer satisfaction)

4.3 Challenges of Outsourcing

The interviewees shared a number of challenges that they experience when some services in their supply chain are outsourced to external service providers. This is the third aggregated concept that we have identified lead by three second order themes named as risks, conflict of interests, and operational challenges. These second order themes occurred as a result of multiple first-order codes that emerged out of the discussions with our participants, and have been presented in the data structure. All the second order themes have been presented with relevant quotations from real transcripts.

4.3.1 Risks

This second-order theme was generated from two first order codes, named as *compliance risk,* and *dependency risk*, that we identified from actual interviews. Outsourcing partners can assist in navigating complex legal and regulatory frameworks, such as GDPR compliance. But interestingly companies prefer to go with entrusted and reputable service providers on purpose to manage this risk.

The good thing that we found was that in Sweden, all of those practitioners were actually aware of the compliance risk when it comes to compliance with relevant laws. Though it is a reality in SSCs that when services are outsourced to external partners, this challenge do arise as to whether or not the partner firm is complying with relevant rules and regulations of the land. If not, then there can be serious problems in the business of the host company. At the same time this risk highlights the significance of compliance to the organizational values and strategic outlook of the principal when engaging in outsourcing partnership with agent. So while addressing to relevant questions where we attempted to figure out if compliance risk is present in the industry, our participants acknowledged the reality of it but at the same time they discussed how they ensure to deal with this challenge. Two of the relevant quotes from our interviews have been shared for example:

"Yes, that is true. I've heard of such problems especially when companies go abroad with outsourcing decision. But we are operating in Sweden and here we deal with the company which has all the legal formalities, all the documents ready with them. Then we see the last thing is how much percentage we can earn by outsourcing that one and these are the basic 3 criteria which we take into consideration while dealing with the other companies." [ID – 5] (compliance risk)

Another risk that is identified in literature of supply chain is dependency risk which we explored from our participants. According to Hallikas & Lintukangas (2016), supplier dependency risk refers to the exposure companies face due to relying heavily on a limited number of suppliers for critical resources or components, making them susceptible to disruptions in the supply chain. This reliance on a few suppliers also exposes companies to supply chain disturbances and risks, amplifying their vulnerability. So we tried to identify this risk from our participants, and one such thought we received is as follows:

"Sometimes we face this situation [of depending too much on some service providers] *especially when we are stuck at some point and the solution is only with one partner. Normally, we conduct risk assessments whenever we establish a contract with a supplier and our owners are quite entrepreneurial, I would say. They have contingency plans in place."* [ID – 4] (dependency risk)

4.3.2 Conflict of Interests

In agency relationships, the principal endeavors to minimize agency costs by specifying, rewarding, monitoring, and regulating the agent's actions, whereas the agent aims to maximize rewards and diminish principal oversight (Fleisher, 1991). So conflict of interest do arise in such situations. Since we are also viewing the relationship of buying firm (principal) and supplying firm (agent) as agency relationship, conflict of interest is one of the challenges that are there and we tried to identify such problems from our participants regarding their relationship with their outsourcing partners. We identified two first-order codes that were clubbed under this second-order theme, which were *imbalance of information*, and *mismatch of objectives*.

Almost all the participants expressed that the lack of adequate information or unclear information was one of the most challenging situations for the managers to deal with their outsourcing partners. As highlighted by Fayezi et al., (2012) that due to a lack of trust or other factors involved, an expert agent might hesitate to disclose sensitive information to its principal, which is fundamental to relationships within the SCs. Information gaps lead to hidden costs and results are costly to organizations (Fayezi et al., (2012) that damage the relationships of both parties. The suppliers have more information as well as expertise in their operational area; hence, they demand more profits from the organizations. Due to thea lack of information and expertise in the outsourced operational area, organizations frequently have to face hidden costs.

In most cases, these hidden costs impact the quality of the work for the final delivery to the end customer, which ultimately affects the goodwill of the organization. Take the following quotation as an example:

"These are the minor hidden costs which they [outsourcing partners] *informed us at the time when the job had already started. So in that case we negotiate with the customer as well as our logistic partner company* [to avoid any such costs or to minimize the effects of these costs]*".* [ID – 5] (Imbalance of information)

Mismatch of objectives is often considered a challenge for the organizations that collaborate with each other and that also serves as a matter of conflict of interests. It can also be problematic within the organizations as the objectives are supposed to match and be aligned with company's strategic directions. Most of the managers claimed that they are highly concerned about matching profiles of organizations that include values, mission, and strategic aims they pursue. Their concerns were about the mismatch of objectives with their outsourcing partners. These concerns gave us hints to explore further what specifics do they expect to have in their service providers and what factors they think would fit with their organizations' profiles. The insights shared by managers were as follows:

"It is pretty challenging to always align with the same pace with the suppliers. Therefore, key factors we look for in selecting service providers are their expertise in the specific field, their cost as well as the trustworthiness with the good prior records. We mostly look for their past records. Thus lead time is quite important and we have 2 weeks lead time". [ID – 3] (mismatch of objectives)

4.3.3 Operational challenges

Some operational challenges were also identified from the interview transcripts. This theme emerged from the two first order codes *'hidden costs'* and *'delays in service delivery'.* Some participants expressed that they have experienced some issues related to hidden costs when a service is provided to them through an outsourcing partner. These costs emerge especially when the managers' have a lack of knowledge in a particular field. While some others claimed that in certain cases, these hidden costs are influenced by the end customer as they do not convey their expectations clearly in the beginning, and these charges are supposed to be paid by the customer. This factor often influences negative feedback or consumer dissatisfaction. To avoid such feedback, companies sometimes decide to bear the hidden costs reducing their profit margins. As it can be seen from the conversation we had with participant ID – 5:

"These are the minor hidden costs which the customer informed us at once at that time while the job had already been started. In that case we negotiate with the customer as well as our logistic partner company [to sort out the matter as to who would bear that cost]*".* [ID – 5] (hidden costs)

It was also indicated by the managers that outsourcing some services causes delays and time extensions, which affects the end customer's perception of the organization. These delays are caused by unforeseen events, any uncertainties or disruptions that impact the delivery time of the service. It was also found that most of the time, managers face such problems due to a lack of communication. These delays eventually lead to backorders for the organization, which can be costly and may damage the reputation and goodwill of the organization. As indicated by participant No. 2:

"I mean, if we don't brief this to a supplier or partner in a good manner and they don't produce something good, [then there is a problem as] *we need it in time* [for the customers]*".* [ID – 2] (delay in service delivery)

4.4 Mitigating challenges

In order to mitigate challenges emerging in outsourcing and remain competitive, companies are adopting different strategies. Under this aggregate concept, we first identified three second order themes named as *'professionalism'*, *'supplier relationship management'*, and *'risk management'.* Each of these second order themes emerged from two subcategories (first order codes) as can be seen in data structure.

4.4.1 Professionalism

One strategy that companies use to mitigate the challenges associated with outsourcing is by ensuring professionalism in their business, which is a second order theme that emerged from two first order codes '*selection of suppliers*', and '*contracts / legal formalities*'. Most of our participants revealed that they always tend to carefully select vendors to ensure an alignment with their objectives and to have a smooth flow of operations without interruptions. We also found that they mostly consider capabilities (resources/skills), aligning of jobs and profiles of organizations, legal backgrounds, and costs associated. As one of the participants said:

Participant with ID 14 shared these thoughts:
"We are highly considering when we are choosing our IT suppliers and their capacity. Also we are highly concerned about the relationship between us. We believe good relationship make it easier to solve the problems together". [ID – 14] (Selection of suppliers)

Organizations can identify potential vendors with expertise by tracking vendors' records or looking for references to meet their needs effectively. Here we draw our second proposition:

Proposition 2: By investing time and effort in the outsourcing partner selection process, organizations can minimize agency problems enhancing the likelihood of successful partnerships and positioning themselves to derive maximum value from their outsourcing initiatives.

Another solution to several agency problems that arise in buyer-supplier relationship is enforcing a contract and meeting all legal formalities. Supply chain partners coordinate through supply contracts, which come in various types commonly utilized in practice, with one prevalent form being the service level contract. In a service level contract, companies outline a specified service level for suppliers to meet along with the corresponding repercussions for any failure to do so (Behrenbeck et al., 2007). Some of the interviewees especially from the large firms shed light on importance of having a service level contract and actually establishing one with their outsourcing partners. One participant said:

"We utilize different strategies to ensure seamless coordination with our service providers. We also have a formal contract and do regular meetings and performance reviews to address any issues promptly." [ID – 10] (contracts and legal formalities)

4.4.2 Supplier relationship management

This second order theme emerged from two first order codes that we identified from our conversations with participants, which are *'communication'* and *'relationship with suppliers'*. We emphasized a lot on the tools managers use to coordinate with their suppliers and the strategies to have close relationships with them. We understood from the discussions that almost all of them were of the view that having clear communication and expectations help in conveying information effectively and establishing mutual understanding about what is required, desired, or expected between parties during the outsourcing of a particular task. Clear and effective communication involves expressing thoughts, ideas, instructions, and feedback in a concise, coherent, and understandable manner (Agarwal et al., 2020). When there is lack of effective communication, organizations face issues related to hidden costs, uncompleted tasks, as well as unsatisfied end customers, which ultimately leads to conflicts between the organization and their outsourcing partners. These thoughts were shared by the participants in different ways:

"We just recently started to use a platform where we submit the order to the company and this platform is safe for information [sharing]*. Through this platform that we use to get transparent information. It is called "XXX*[2]*"."* [ID – 1] (communication)

Companies are using different forms of communication tools in order to maintain proper communication and to stay aligned with their relationship with outsourcing partners. Emails, text messages, WhatsApp chat, telephone calls, and digital platforms such as Teams or Zoom meetings are the most common digital tools that companies are using. Moreover, companies are looking to communicate through written form either digitally or on paper in order to comply with legal measures. Moreover, considering efficiency, transparency, and convenience, our participants told that they also have their own communication platforms with various functions that help minimize information asymmetry with their service providers.

Besides having an effective communication as a tool to maintain effective relationships with suppliers, our participants also highlighted the importance of having close relationships through engaging in personal level contacts with them. For instance, while sharing some deep relationships with one of their partner firms, one of the participants said:

"She knows our business and it's more of a yeah, it's a closer relationship with her compared to the other suppliers." [ID – 6] (relationship with suppliers)

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[2] Organizations has been named as XXX in order to keep the privacy of data.

Effective supplier relationship management is the key to success which can be achieved through clear and effective communication. Using different communication strategies and tools as highlighted above, organizations try to establish transparency and minimize communication gaps with their partners. Here we draw another proposition.

Proposition 3: Effective communication is paramount in outsourcing relationships, fostering understanding, trust, and collaboration. It's the linchpin of successful supplier relationship management, ensuring alignment, problem-solving, and partnership sustainability.

4.4.3 Risk Management

Our findings also suggest that organizations are focusing on identifying, assessing, and mitigating potential threats and challenges to their specific projects or businesses. It's about being proactive, anticipating uncertainties, and minimizing their impact or likelihood of occurrence. One form of such awareness and dealing with challenges is through 'contingency planning', which is to remain prepared for unforeseen events by developing strategies to respond effectively if risks materialize. It is used as a risk management tool and helps organizations to enhance their preparedness and resilience against potential challenges. They identify risks, assess their severity, and prioritize them based on significance. Then, they implement measures to reduce risk likelihood or impact and develop backup plans to address potential outcomes. Continuous monitoring and communication ensure that strategies remain relevant and stakeholders are informed. This integrated approach enables organizations to navigate uncertainties more effectively and maintain continuity in their operations. Some of the participants were quite expressive in sharing their contingency plans, while the others were mentioning parts of their plans. Those which acknowledged over dependence on their service providers realised the importance of contingency planning. Here are some example quotes from interviews:

"We most of the time delegate tasks and give own responsibility to fix the situation in case of an emergency, such as if you are unable to appear in our event supplier has to send someone on behalf of them to complete the task. We also thoroughly know our potential partners, establish clear expectations and protocols, and maintain open communication channels to address any issues promptly. So anyhow we also way have some kind of back up". [ID – 13] (contingency planning)

We also found the importance for outsourcing arrangements to offer flexibility, allowing companies to scale their operations up or down as needed without the burden of maintaining extensive internal infrastructure. This agility is particularly beneficial during periods of expansion or market fluctuations, but it is a challenge for companies to ensure it when navigating through the available options regarding service providers. When asked about contingency plans for unsatisfactory display of service delivery in addition to managing control over dependency risk, one participant shared views in these words:

"We give a priority to the people who can deliver our task in timely manner and with good quality, if that doesn't work we have to come to some agreements and see how it goes. If it won't go in right direction, we need to turn to another supplier." [ID- 14] (flexibility & scalability)

Hereunder, we have presented the additional quotations from the interviews representing the second order themes emerged from the first order codes:

Second-order themes	**Representative first-order data followed by Quotations**
Current motives	***ID2****- "The main purpose of this decision is to be able to focus on our core business and to get rid of the things that we tend to not really be good at doing, that's why* [we choose to outsource]*."* (Efficient conduct of business) ***ID11****- Outsourcing allows us to leverage specialized expertise and resources that may not be available in-house. It enables us to streamline operations, reduce overhead costs, and focus on delivering exceptional value to our clients.* (To eliminate operational costs)
Futuristic Motives	***ID5****- "Since we have started, the year 2022 was the peak year for our company. So at that time, two companies approached us for the job, they were very expert and while we outsourced the job, the area of our work increased. Like initially, we have a particular area in central Sweden. But as they come into contact with us, the area is increased. We are getting to cover more and more cities like Linköping, Norrköping which is quite far away from our location in Jönköping. But that supplier company was established in Linköping. So we get one more big area of operations."* (expansion of business) ***ID9****- I don't have a service. I don't have a I don't need to do a service for my vehicle. I don't need oil change or gear oil change or some kind of stuff, but it will be done by this person and it will save money for me"* (to stay competitive)
Efficient conduct of business	***ID6****- I would say maybe that they are quite spread in their expertise, which is affecting us* [positively] *in terms of cost savings and having efficient processes...".* (cost saving and improved efficiency) ***ID1****-The main advantage is probably that the employee can immediately focus on work which of course is a gain for us as a company. If the employee would have to do everything themselves, they would have to spend a lot of time researching and finding information. This way the employee and the company can save a lot of time get more work out of their employee and let them focus on what they do.* (focus on core-works)

Continuous improvement and adaptation	***ID7***-*"You don't have to take so much resources. If you're performing* [a] *job* [by] *yourself, you have to buy* [a] *truck and material* [stuff required to perform your job/service]. *When you buy a truck, you have to keep* [recruit] *a driver and take the calls every time. For example, if he says the car has this and that problem* [you'll have to manage repair and maintenance]. *But your subcontractor can't* [complain for such things]. *Because he has to fix* (such problems) *himself. By outsourcing* [some] *services, actually you can feel stress free."* (access to external resources) ***ID1***-*"Because they are the experts when it comes to everything around moving to Sweden which includes contacts with the tax office to get registered, contacts with banks to get a bank account for our employees and also to get housing in Sweden... This company that we work with, they are the experts. So instead of doing all the work ourselves, which would mean a lot of work, we buy these services to be more efficient...".* (access to external expertise)
Enhanced Brand Perception	***ID13***- *"At Restaurant "YYY[3]", we believe that using natural ingredients from chosen suppliers is essential for delivering the highest quality dining experience to our guests. These ingredients not only ensure superior taste and freshness but also align with our commitment to health, sustainability, and supporting local producers. It helps us to grow more customers to our Restaurant and also higher demand for our catering"* (Improved customer satisfaction) ***ID12***- *"Outsourcing this function allows us to enhance customer satisfaction by delivering high-quality services more efficiently. By using specialized expertise of our partner firm, we can improve service delivery and provide greater value to our clients, which enhances our operational efficiency. By doing this we believe that we give them a good image of our firm".* (improved customer satisfaction)
Risks	***ID4*** *"It* [compliance risk] *cannot be denied but by entrusting sensitive tasks to reputable service providers, we can mitigate risks associated with data handling and ensure adherence to relevant regulations such as GDPR..."* (compliance risk) ***ID11***- *Most of the time we always have some plans for our tasks in order to face some unavoidable problems coming from the supplier side. We are not a bit from and our suppliers are also not very big companies. Therefore, some issues have happened in the past because they couldn't Deliver the assignment on time and then we had to find some internal solutions which took a lot of energy from us.* (dependency risk)
Conflict of interest	***ID10***- *"As we continue to grow, we aim to evaluate our outsourcing strategies to ensure they align with our evolving business needs. Expanding our network of reliable service providers will remain a priority to support our operations effectively."* (mismatch of objectives) ***ID2***- *"Exactly because, I mean, if we don't brief a supplier or partner in a good manner it produces something that we don't expect and it appears hidden cost."* (Imbalance of information)
Operational Challenges	***ID5***- *"Yeah, it's it's a little bit. It's really difficult when things happen like that, extending time because we lack our control because I mean it influences the customer as well."* (time extensions/delays) ***ID14***- *"Sometimes they are tricky and add some additional charges to out invoices and we have no clue of that. I mean we are not good in their service and we have to accept it anyway."* (hidden costs)
Professionalism	***ID5***- *"To incorporate (with each other), we see the resources and skills. Then in business, we look for legal formalities. Then the last thing we see is that how much percentage we can earn by outsourcing that one and these are the basic criteria which we take into consideration while dealing with the other outsourcing companies."* (selection of suppliers)

[3] The organization has identified as YYY in order to keep the privacy of the participant.

	ID4- *"We conduct risk assessments whenever we establish a contract with a supplier and our owners are quite entrepreneurial I would say. They have contingency plans in place."* (contracts and legal formalities)
Supplier relationship management	***ID1***- *"We just recently started to use a platform where we submit the order to the company and this platform is safe for information (sharing). Through this platform that we use to get transparent information. It is called "ZZZ[4]"."* (communication) ***ID10***- *"Maintaining strong relationships with multiple partners helps minimize dependency risks because you try to have a win-win relationship as it is a connection or link of give and take kind of thing you know."* (relationship with suppliers)
Risk management	***ID4***- *"Should this supplier, somehow not work out for us, I would look for another supplier which is… I know what the options are and so it wouldn't be very difficult to handle that."* (flexibility & scalability) ***ID6***-*We need help from a lot of different people for this organization, so it's quite hard to build a relationship with maybe one or two and to get help from one or two people, but instead, we're having contact with maybe 12 of them."* (contingency planning)

Table 3 Additional representative data supporting each second-order data

[4] The platform has been named as ZZZ in order to keep the privacy.

5. Analysis of Findings

This chapter is directly linked to the Findings of our data and is done in accordance with the principles of grounded theory as previously explained in Methods section. From different perspectives of participants, we tried to explore an in-depth understanding of the concepts shared by them. All the four concepts appeared through a systematic process and given the relevance of similar themes appearing from the discussions with interviewees. We have backed up the findings with relevant literature to take a systematic transparent approach.

5.1 Context (Reasons for outsourcing)

The empirical findings from the interviews illustrate several compelling reasons driving the outsourcing of certain functions within the service industry in Sweden. These findings substantiate the assertion made by Arjan & Weele (2022, p.76) regarding the benefits of outsourcing, which means that we identified and explored the perspectives of our interviewees who are responsible persons working as strategists in various organizations and according to them which benefits they consider to be ascertained from the strategic outsourcing of certain operations in their supply chain. Our participants expressed several advantages they aim to derive from this strategic decision for both current and future operations, so we termed those reasons as current and futuristic motives.

5.1.1 Current Motives

Our findings claim that organizations can aim to receive a multitude of benefits for their day-to-day operations when they decide to outsource one or more functions in their services supply chain. One such benefit gained through outsourcing is associated with reduction of different types of operational costs. This assertion is aligned with the research presented by Allen and Chandrashekar (2000), who outlined that organizations could lower expenses related to employees' salaries and reduce their investments in machinery and equipment while benefiting from the outsourcing strategy.

The second benefit that motivates companies to be obtained through outsourcing is the ability to increase operational efficiency, as evidenced by the studies of Allen and Chandrashekar

(2000). Empirical evidence from research emphasizes that leveraging expertise and accessing necessary resources enable suppliers to achieve fast and efficient delivery, surpassing in-house capabilities. In today's SCs, whether MSCs or SSCs, prioritizing the end customer is paramount, as highlighted by Harrison and Hoek (2011). For this reason, organizations are highly concerned about delivery times. Outsourcing certain functions in their SSCs helps reduce waiting times and delays involved in service deliveries, ultimately enhancing end-customer satisfaction. Our findings suggest that it is achieved by removal of several inefficiencies in service processes of the organization by outsourcing some functions in their supply chain.

5.1.2. Futuristic Motives

We also found that organizations are not only making outsourcing decisions based on the benefits to their day-to-day operations but also considering the future advantages associated with such decisions. The empirical findings presented by us emphasize that organizations also outsource several functions to expand their business operations and customer reach, particularly aiming to geographically diversify and spread their operations. Generally, expanding a business entails significant capital investment; however, by outsourcing both core and non-core competencies, organizations can expand more cost-effectively and with less efforts. At the same time, outsourcing is not only linked to geographical expansion but also to the expansion of competencies. Empirical evidence suggests that organizations can enhance their core competencies by adding new skill sets through outsourcing, as demonstrated in the research of Pavaloaia (2013) and getting access to external resources.

Furthermore, besides expansion of business and getting access to specialised skills and external resources, outsourcing strategies are adopted to mitigate competition with rivals. We found that organizations are forming strategic collaborations and partnerships by outsourcing certain functions to their competitors, which enhances their competitiveness and ability to focus on their core competencies by reducing competition. The literature also supports this assertion that reduction in competition is possible through collaboration as “Co-opetition” (Brandenburger & Nalebuff, 2021) with firms which are involved in offering same or similar services in the industry.

5.2 Opportunities – through Outsourcing

As discussed earlier, that organizations are outsourcing their core and non-core business services to reap benefits and capitalize on opportunities (Allen & Chandrashekar, 2000). Using this finding, we further explored that the participants gave us enough evidence to believe that efficient conduct of business, continuous improvement and adaptation, and enhanced brand perception are significant opportunities that companies are exploiting by outsourcing their functions.

5.2.1 Efficient Conduct of Business

Efficiency and fast delivery are highly required in the domain of SC, which is equally applicable to the SSCs likewise the MSCs (Harrison & Hoek, 2011). Our empirical findings claim that by outsourcing certain functions, organizations are able to conduct their business more efficiently as this strategy enables them to stay focused on core competencies, which is supported by Allen and Chandrashekar (2000). When we dug deeper to identify how organizations make it happen, we found that outsourcing non-core business services allows employees to stay focused on core competencies and contribute to fast delivery to the end customer, rather than diverting their attention on peripheral activities besides performing the main job functions. Therefore, we assert that staying focused on core activities is essentially important in SSCs. Unlike MSCs, considering the unique characteristics such as intangibility, perishability, and heterogenic nature of services as products of those organizations, the production process cannot be investigated and monitored as physical products (Ellram et al., 2004). Thus, logistics doesn't play a significant role in making fast delivery to the end customer but logistic support in terms of customer service etc does have an importance in services sector. Hence, focusing on core competencies make the process in organizations offering services more efficient and creates enormous opportunities for the SSCs to contribute to improvement of the satisfaction level of the end customers.

Moreover, in order to operate more efficiently through cost savings and improved efficiency, empirical evidence claims that the cost savings and expert assistance allow the organization to enhance its services and ultimately create more opportunities for success, which is supported by Allen & Chandrashekar (2000).

5.2.2 Continuous Improvement & Adaptation

Outsourcing of certain functions in supply chain of an organization also gives opportunities for continuous improvement and adaptation. We found that outsourcing gives access to external resources and expertise not possessed by the organization, which enables managers to capitalize on opportunities for both continuous improvement and adaptation. This idea is supported by previous research on outsourcing by Espino-Rodríguez & Padrón-Robaina (2006). Our participants realised this fact that both human capital with all their skillset and experiences (expertise) and equipment (innovative technology and resources required to perform the job) play integral roles in exploiting these opportunities afforded by outsourcing.

5.2.3 Improved Customer Satisfaction

Another significant opportunity that organizations are gaining through outsourcing one or more of their functions is the enhanced brand perception through improved customer satisfaction and brand image of the organization as an employer. It is characterized by the development of brand perception through various initiatives the organizations take linked to outsourcing decision. Our empirical evidence underscores that managers are highly concerned about the strategic outsourcing of certain functions to enhance customer satisfaction levels and they acknowledge that it is affected by performance of service delivery. Moreover, the research outcome emphasizes that outsourcing not only streamlines operations but also augments organizational capabilities, which are essentially important in achieving and sustaining high levels of customer satisfaction. These fact-based findings, as demonstrated by Graf et al. (2013), underscore the pivotal role of outsourcing in cultivating positive brand perception and fostering enduring customer relationships through enhanced capabilities. But at the same time the companies should be vary of the performance of their outsourcing partners which affect the brand image either positively or negatively. We assert that this is a double-edged sword as performance of one of the partners can have an impact on the other.

5.3 Challenges of outsourcing

While outsourcing functions presents significant opportunities for organizations, there are also challenges associated with it (Leavy, 2004). Our empirical findings suggest that these challenges primarily stem from risks involved in the strategic outsourcing, conflict of interests and different operational challenges that organizations face.

5.3.1 Risk

One such risk is compliance risk, which entails the failure to adhere to laws, regulations, industry standards, or internal policies and procedures of the organization. It is evident from our findings that organizations face risks related to the scarcity of required service standards and compliance with government regulations, as outlined in the research by Bachlechner et al.

(2014). This compliance can also be related to adherence to organizational policies and procedures that the principal (service buyers) may be following but making the agent (service suppliers) aligned to those policies can be challenging.

Another prevalent risk highlighted in our research outcomes is dependency risk. Managers encounter difficulties due to excessive reliance on outsourcing suppliers, as mentioned in previous literature by Choi et al. (2016). We explored the involvement of this risk from our participants and the empirical evidence exclaims that some of these were aware of this terminology while others were simply ignorant because things are currently moving in the right direction. When we alerted them with this term, asking different questions related to it, they realised that they should focus on thinking of contingency planning because uncertainties and disruptions may lead suppliers to occasionally fail in delivering outsourced functions within the specified time frame and with the required quality, which is supported by Choi et al., (2016). However, if organizations would over depend on some of their suppliers by not having any backup plans, they may be at loss.

5.3.2 Conflict of interests

Conflict of interest poses a significant challenge in the outsourcing of certain functions which is also aligned to agency problems companies face in such settings. Empirical findings show that organizations face challenges such as imbalance of information, and mismatch of objectives. These findings align with agency theory, as proposed by Stephen Ross and Barry Mitnick (Mitnick, 2011). Thus, we were able to view the conflict of interest through the lens of agency theory.

Empirical findings emphasize that the lack of flexibility and scalability of suppliers is a significant challenge for organizations. Previous literature has shown that when two entities are collaborating, each member tends to focus on achieving their own goals rather than common goals (Eisenhardt, 1989). Research outcomes emphasize that suppliers are mostly working for their own benefits and are disinclined to be flexible in serving an organization. Our findings further claim that managers face difficulties in providing the best value to their customers due to the lack of flexibility and scalability from suppliers, hindering the delivery of services to end customers in a timely manner and with the right quality.

The research outcomes also highlight the imbalance of information as a challenge for organizations striving to optimize operations and enhance customer satisfaction while remaining competitive. These empirical findings can also be viewed through the lens of agency theory, as articulated by Mitnick (2011). Mitnick (2011) posits that one of the challenges, when one party acts on behalf of another, is the presence of hidden information held by the agent, which is not disclosed to the principal, corroborating the empirical findings. This imbalance of information contributes to issues such as increased costs, delays, and quality-related concerns. Thus, the mismatch of objectives arises as another challenge in outsourcing, as revealed by empirical findings. Previous literature has observed this mismatch through the lens of agency theory (Eisenhardt, 1989; Mitnick, 2011). We also found that suppliers prioritize their own profits, while organizations struggle to align their objectives with those of the suppliers in order to serve the end customer effectively, which ultimately causes reduction of customer satisfaction level.

5.3.3 Operational challenges

Operational challenges significantly affect organizational goals, such as achieving end customer satisfaction and maintaining competitiveness against rivals. Empirical evidence demonstrates that time extensions (delays) from suppliers have a detrimental impact on organizational performance, as outlined in the research by Chen et al. (2011). However, addressing these challenges is particularly crucial for SSCs compared to MSCs, regarding their unique attributes. Specifically, while manufacturing industries can maintain inventories and buffers, nevertheless service industries are unable to do so due to their specific attributes as highlighted in literature review chapter.

Hidden costs present a significant challenge in outsourcing, impacting the organization's objectives of customer satisfaction and competitiveness. As previously mentioned, these challenges can be viewed through the lens of agency theory. These findings align with Ellram et al.'s (2004) identification of SCM challenges, including unclear specifications, financial control issues, difficulty in developing service specifications, lack of recognition of service management problems, and unfair profit opportunities for service providers due to unclear agreements and unexpected charges.

5.4 Mitigating Challenges

The results of findings claim that managers are taking different approaches to mitigate the challenges associated with outsourcing while capitalizing on opportunities. Empirical findings regarding the mitigation of outsourcing challenges align with the perspectives of agency theory.

5.4.1 Professionalism

Empirical evidence indicates that organizations are adopting a professional approach in managing outsourcing processes and partnerships, which we term as “professionalism”. This professionalism entails managers engaging with suppliers in a professional manner rather than adopting vague or unprofessional approaches. To maintain professionalism throughout the outsourcing process, companies place high importance on selecting service providers. These findings resonate with the assertions of Arjan & Weele (2022), who emphasize the necessity of careful supplier selection and professionalism within SCM to address challenges. Furthermore, previous literature has identified supplier selection as a strategy for reducing agency costs (Armour et al., 2009), and our empirical findings on professionalism contribute to mitigating challenges associated with outsourcing in SSCs.

Research outcome claims that contract and legal formalities play a significant role in mitigating challenges associated with outsourcing certain functions in the service industry. This empirical evidence aligns with the research of Armour et al. (2009), which emphasizes the contribution of contracts and legal formalities as a strategy to mitigate agency problems, particularly agency costs and also contribute to dealing with such issues with a professional approach.

5.4.2 Supplier Relationship Management

Empirical evidence underscores the importance of supplier relationship management as a strategy to address the challenges associated with outsourcing decisions in SSCs. These findings align with the assertions made by Arjan & Weele (2022) regarding the significance of supplier relationship management within the outsourcing process. The research findings, based on participants' responses, emphasize that clear and effective communication is crucial in supplier relationship management, which is also supported by the content of "Procurement and Supply Chain Management" by Arjan & Weele (2022). Previous literature has recognized communication as a strategy for addressing agency problems in service industries by mitigating information asymmetry (Panggabean & Jermias, 2020). The collected data from participants further highlight the importance of clear communication to prevent information imbalances and remain informed about supplier operations.

Empirical findings further emphasize the essential role of supplier relationships in mitigating challenges associated with outsourcing decisions. These findings align with the observations of Arjan & Weele (2022). Collected data from responses highlights that stronger supplier relationships contribute to resolving issues more effectively and help in sustaining long-term partnerships.

5.4.3 Risk Management

Risk management entails mitigating challenges within outsourcing decisions, supported by empirical findings. These findings align with the assertion of Arjan & Weele (2022) regarding mitigating challenges with suppliers. Specifically, empirical evidence highlights the crucial role of contingency plans in addressing challenges associated with outsourcing decisions, consistent with Chen & Bharadwaj (2009). Research outcomes, based on participants' responses, strongly emphasize the importance of contingency planning to prevent delays in delivering the final outcome to the end customer and avoid customer dissatisfaction resulting from late deliveries.

6. Discussions

This chapter presents an insightful discussion on our research outcome, presenting ways to identify and deal with opportunities and challenges associated with strategic outsourcing within the domain of SSCs. A useful model has also been provided based on the findings and the discussions we've made in this paper followed by some specific managerial implications as well as theoretical contributions

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In our exploration of the strategic outsourcing, we delve into a critical aspect of contemporary organizational strategy, shedding light on its multifaceted implications for competitiveness. Through a meticulous review of literature and an in-depth analysis of our research findings, we unearthed a plethora of insights that underscore the pivotal role outsourcing plays in organizational dynamics and therefore we contribute to theory in a number of ways.

First and foremost, outsourcing emerges as a strategic lever enabling organizations to not merely tackle challenges but to actively exploit opportunities aligned with their overarching strategic objectives, which is supported by Sen et al., (2020). It serves as a conduit or channel through which organizations navigate the complexities of their operational landscapes, determining the trajectory of their competitive standing. Our synthesis of findings reveals that the decision to outsource is often the linchpin determining whether organizations ascend towards enhanced competitiveness or descend into a state of stagnation or decline. While acknowledging the inherent variability across industries, our investigation underscores the convergence of motives propelling organizations towards outsourcing. Despite industry nuances, we discern a common thread running through the rationales articulated by practitioners from diverse sectors of service industries. These motives serve as the contextual backdrop against which outsourcing decisions are made, serving as the cornerstone of organizational competitiveness.

Central to our findings is the notion that outsourcing gives rise to efficiency gains by liberating organizations from the burden of non-core activities within their SSCs. This new ability to move quickly shows up in different ways, like making better products (service offerings), improving how services are delivered, and being more effective as managers. While conventional wisdom often associates outsourcing with cost reduction, our research unveils a range of additional benefits that extend beyond mere financial considerations. These benefits, ranging from access to external resources and capabilities to value-added service delivery through efficient conduct of business, underscore the intricate potential inherent in outsourcing decisions. Importantly, we highlight a critical condition in exploitation of this opportunity, which is such that the realization of these benefits hinges not solely on the availability of external resources and expertise but on the proactive utilization thereof, where managerial input becomes vital. Maximizing the value derived from outsourcing necessitates a symbiotic interplay between organizational receptivity and entrepreneurial acumen. It is incumbent upon organizational leaders and managers to harness external resources judiciously, integrating them seamlessly into existing operational frameworks to drive sustainable competitive advantages. Our research underscores the strategic imperatives associated with outsourcing in the contemporary business landscape of service industries. By positioning outsourcing as a catalyst for innovation and efficiency, service-based organizations can fortify their competitive positioning amidst the exigencies of a rapidly evolving marketplace (Tegethoff et al., 2023). Crucially, we advocate for the adoption of a refined and pragmatic framework by the managers and organizational leaders to navigate the challenges inherent in outsourcing, thereby unlocking its full potential as a driver of sustained growth and success.

Certainly, an integral aspect of our research pertains to the imperative of addressing agency problems inherent in outsourcing relationships. We contend that effective communication and the cultivation of close relationships with outsourcing partners are indispensable strategies in mitigating these challenges and fostering mutually beneficial collaborations. Agency problems, stemming from misaligned incentives and information asymmetries between organizations and their outsourcing partners, pose a formidable barrier to the realization of outsourcing's potential benefits (Agarwal, et al., 2020). Left unchecked, these issues can erode trust, impede cooperation, and ultimately undermine the effectiveness of outsourcing initiatives. Central to our findings is the recognition that proactive communication serves as a linchpin in overcoming agency problems, as suggested by Agarwal et al., (2020). By fostering transparent and open channels of communication, organizations can bridge the informational gap that often plagues outsourcing arrangements. Clear articulation of expectations, performance metrics, and strategic objectives enables both parties to align their efforts towards shared goals, thereby mitigating the risk of divergent interests and suboptimal outcomes. Interestingly, here lies another challenge and that is associated with selection of those service providers that organizations choose to work with. We assert that if organizations spend some time and effort in establishing a certain criterion in selection of those service vendors beforehand, which may be aligned to the firm’s integral values and strategic standpoint, several agency problems stemming from the conflicting interests can be avoided. This assertion is also supported by the arguments of Lu et al., (2014) who suggested to formulate a criterion for selection of service providers whom companies choose to outsource to be aligned with each other.

Another thing which we emphasize is the importance of cultivating close relationships with outsourcing partners as a means of addressing agency problems. Several participants indicated that they prefer to have relationships at a personal level with those service suppliers. They highlighted the importance of having close relations at personal level for nurturing trust, harmony, and mutual understanding, and by this, organizations can foster a collaborative ethos that transcends transactional dynamics. Investing in relationship-building initiatives, such as regular meetings, joint problem-solving sessions, and cross-functional teams, brings forth a sense of partnership and shared ownership in achieving collective success for both parties involved in this relationship (Kauffeld & Lehmann-Willenbrock, 2011; Wittenbaum et al., 2004, Leach et al., 2009). Crucially, our research underscores that effective communication and relationship management are not merely ancillary considerations but strategic imperatives in the outsourcing paradigm. By proactively addressing agency problems through these mechanisms, organizations can unlock the full potential of outsourcing as a catalyst for innovation, efficiency, and competitive advantage.

In essence, our contribution lies in offering a nuanced perspective on outsourcing that transcends traditional narratives, delineating its strategic significance and operational intricacies. By elucidating the nexus between outsourcing decisions and organizational competitiveness, we empower practitioners with actionable insights to navigate the complexities of modern business environments effectively. At the same time, our research underscores the critical role of effective communication, risk management through contingency planning, and relationship management with service suppliers or outsourcing partners in navigating the complexities of outsourcing relationships and mitigating agency problems. By prioritizing transparency, collaboration, and trust-building initiatives, organizations can forge enduring partnerships with outsourcing vendors, thereby realizing the transformative potential of outsourcing while safeguarding against inherent challenges.

6.1 Outsourcing Motives to Competitiveness Model in SSCs

We present our findings and the discussions we've made in the form of a model in Figure 5.

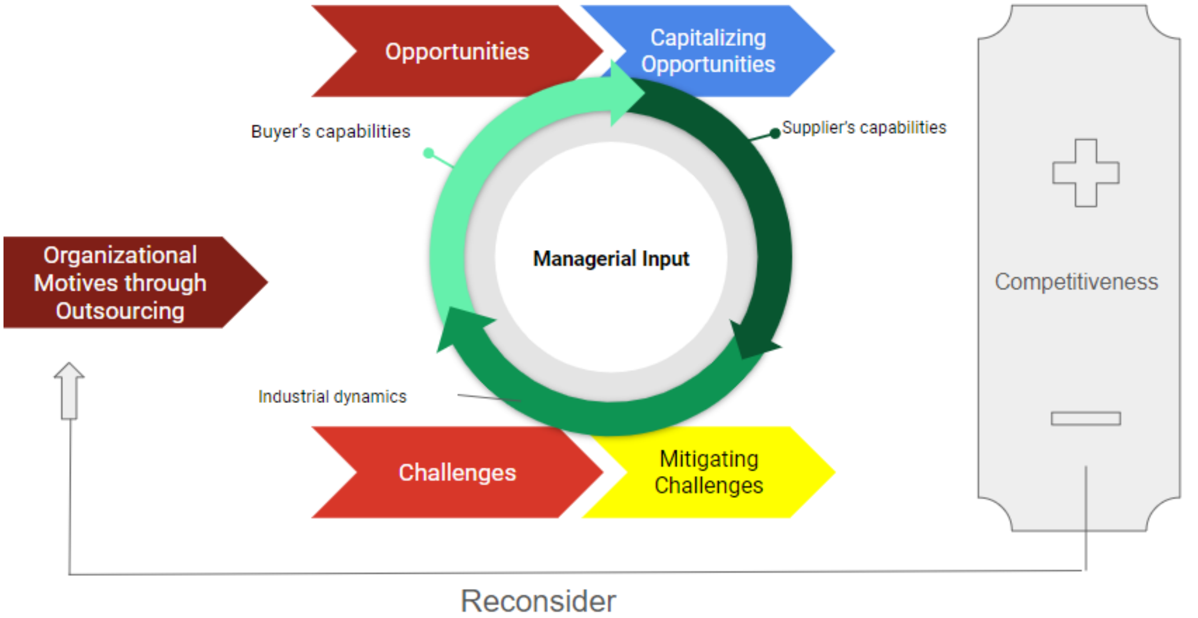

Figure 5 Outsourcing motives to competitiveness model

The above model explains the assertions we have discussed in the discussions section. As indicated in our research, organization's motives specify some opportunities and challenges crucial to success or failure of the outsourcing decision. Then we propose that managerial input is very important in first identifying those opportunities and challenges and then exploiting the opportunities and mitigating the challenges. It depends on managerial input to deal with challenges and capitalize opportunities, which they can do only when they know the three variables influencing the success or failure of the outsourcing decision. These three variables are *Buyer's capabilities, Supplier's capabilities,* and *Industrial dynamics*, all of which overlap and influence each other in the outsourcing relationship between service buyer and service supplier. The entrepreneurial ability of managers is what creates the difference and determines how they can make the best use of opportunities and deal with all the challenges that come up front, while realizing the self (buyer's) and supplier's capabilities in wake of industry specific requirements, to either enhance (+) or decrease (-) the competitiveness of the organization. We also assert that if things lead to a decrease in competitiveness of the organizations, the process may be reviewed and reconsidered for necessary improvements. Using this model, organizations can understand the intricacies associated with motives behind the decision of strategic outsourcing leading to competitiveness of the organizations.

6.2 Managerial Implications

The managerial implications have been derived from the insights provided and encompass a range of strategic considerations for organizations engaging in outsourcing initiatives. By embracing these managerial implications, organizations can effectively harness the transformative potential of outsourcing, driving sustainable growth, and enhancing the organizational ability to compete with rivals in today's dynamic business landscape.

6.2.1 Emphasis on Relationship Building:

Managers must prioritize the cultivation of strong relationships with outsourcing partners. This entails investing in communication channels, fostering trust, and nurturing collaborative frameworks to navigate the complexities of outsourcing relationships effectively.

6.2.2 Transparent Communication:

Transparent and open communication channels are paramount in addressing agency problems and aligning the interests of both parties. Managers should ensure clarity in articulating expectations, performance metrics, and strategic objectives to encourage a sense of mutual understanding and shared accountability.

6.2.3 Strategic Resource Utilization:

Recognizing the diverse opportunities offered by outsourcing, managers must strategically utilize external resources and capabilities to drive operational excellence and enhance competitive positioning. This entails a nuanced understanding of organizational needs and the judicious deployment of outsourcing partnerships to augment core competencies.

6.2.4 Continuous Monitoring and Evaluation:

Managers must adopt a proactive approach to monitoring and evaluating outsourcing arrangements. This involves regular performance assessments, feedback mechanisms, and adaptation strategies to ensure alignment with evolving organizational objectives and market dynamics.

6.2.5 Risk Mitigation Strategies:

Given the inherent risks associated with outsourcing, managers should develop robust risk mitigation strategies. This includes contingency planning, contractual safeguards, and diversification of outsourcing portfolios to mitigate dependencies and safeguard against potential disruptions.

6.2.6 Investment in Talent and Expertise:

Managers should invest in building internal capabilities to effectively manage outsourcing relationships. This entails cultivating a cadre of skilled professionals adept at negotiating, managing, and optimizing outsourcing partnerships to drive strategic value creation. The managerial capabilities must be enhanced by providing necessary training and development opportunities to the decision makers of the organization.

6.2.7 Strategic Alignment:

Aligning outsourcing decisions with overarching strategic objectives is imperative for long-term success. Managers should evaluate outsourcing opportunities in the context of organizational goals, ensuring coherence with broader strategic imperatives and fostering synergies across functional domains and with outsourcing partners.

6.2.8 Organizational Learning and Adaptation:

Recognizing outsourcing as a dynamic process, managers must foster a culture of continuous learning and adaptation. This involves soliciting feedback, embracing innovation, and capitalizing insights from outsourcing experiences to refine organizational strategies and practices iteratively.

6.3 Theoretical contribution

As mentioned in the Background section, previous researchers (Choi et al., 2016) have shown the lack of relevant studies to address and investigate the unique opportunities and challenges associated with outsourcing within SSCs. Hence, fulfilling the existing research gaps, our research confers several theoretical contributions.

Firstly, considering the special attributes of SSCs, it was essential to conduct a comprehensive study to identify the unique opportunities and challenges associated with outsourcing in SSCs.

Because the existing literature has mostly targeted the domain of outsourcing in MSCs (Leavy, 2004). Therefore, with this paper, we've filled this gap.

Secondly, the comprehensive model presented by us explains the process of how motives behind the outsourcing decision face several opportunities and challenges before achieving the desired results of competitiveness. It also explains the importance of the entrepreneurial abilities of managers to capitalize on the opportunities and mitigate challenges in the wake of overlapping variables of buyer's capabilities, supplier's capabilities, and industry-bound dynamics which all influence the decision of outsourcing and determine the competitiveness of the organization.

7. Conclusion

This chapter concludes the findings and our contributions to the domain of SSCs. The later sections of the chapter discuss the limitations of our study and propose potential future research areas within the domain of SSCs.

Considering the organizational focus towards outsourcing and the scarcity of adequate research and research gaps within SSCs, we contribute to the SSC domain by emphasizing how the opportunities and challenges of strategic outsourcing in SSCs influence the competitiveness of organizations across various service industries in Sweden.

Organizations operating in Sweden are outsourcing their core activities as well as non-core activities in order to satisfy the end customer and stay competitive. There are a number of motives and driving forces that encourage the organizations to outsource their functions. Hence, organizations are exploiting more opportunities to serve the end customer as well as generate higher revenue with the ultimate goal of staying competitive. Nevertheless, outsourcing decisions are also associated with some challenges which impact end customer satisfaction, organizational revenue, and eventually influence competitiveness negatively with additional costs, quality-related issues, as well as delays in delivery. In order to align with the organizational goals, organizations are using some approaches to mitigate challenges emerging in outsourcing.

After analyzing the empirical findings, we provided a comprehensive framework to navigate the opportunities and challenges of strategic outsourcing in order to enhance the competitiveness of organizations, considering agency theory perspectives. Through the empirical findings, we understood that the agency problem impacts the outsourcing decisions of organizations and highlighted the managerial competencies important to deal with such problems attempting to enhance the organizational competitiveness.

By introducing a comprehensive model, we explain how organizations can bring the opportunities and challenges to the competitive landscape by mitigating challenges and capitalizing opportunities. Organizational level factors as well as supplier level factors are contributing to the organizations to mitigate challenges and capitalize opportunities. In organizational level, organizational capabilities and industrial dynamics are influenced in mitigating challenges and capitalizing opportunities in order to be competitive among rivals while supplier level supplier capabilities are highly influenced by the competitiveness of the organization. Communication plays a pivotal role in mitigating challenges and capitalizing opportunities in outsourcing decisions within SSCs.

Introduction of a comprehensive Model to mitigate challenges and capitalize opportunities is essential to the SSC domain. Model Emphasizes that the mitigating challenges can be continuously happen because organizations can take outsourcing decisions continuously reconsidering the motives and able to mitigate risks and capitalize opportunities through organizational capabilities, or supplier's capabilities utilizing communication as a great tool. Specially as previously expressed, agency problems are crucial in the domain of SSCs compared to the domain of MSCs. In the MSCs, the agency problem can be reduced by keeping buffers and inventories (Baiman et al., 2010). However, considering the attributes of service industries such as perishability, heterogeneity, intangibility and inseparability increase the inability of treating the issues with holding inventory or buffers. Instead, it needs a different approach to address the agency problems related to the outsourcing decisions. The proposed model supports the managers in service industries to capitalize the opportunities and mitigate the challenges in order to be competitive among rivals.

7.1. Limitations

The research has several limitations. The research-based interview methods and participants' responses may have the influence of potential bias. Although we tried our level best to avoid biases through the criterion sampling method, still we cannot ensure that research is totally free from bias. Moreover, the interviews are conducted with participants working within the territory of Sweden, and it is not possible to generalize it for the rest of the world. Sweden is a developed country with low power distance, high individualism, and high long-term orientation (hofstede-insights.com), and the empirical findings might not be applicable to developing countries. However, our initial plans were to conduct this study involving managers / organizational leaders from various developed countries, but during the process of finding potential matches, we found that the culture of different countries and rules & regulations including the taxation structure and industry dynamics are influencing organizational motivations towards outsourcing. Therefore, we limited our research to Sweden.

Furthermore, 85% of our empirical findings are based on SMEs; therefore, the findings are mostly applicable to SMEs rather than large organizations as well as MNEs. We have got some insights from larger companies but to make our findings and recommendations more generalizable in Sweden, it would have been better to include some more larger companies which we could not do because of time constraints and limited contacts for interviews from participants working in those firms.
Moreover, global outsourcing hasn't been taken into consideration within this research. The focus of the research is local outsourcing and partnerships. Hence it does not emphasize the global opportunities and challenges associated with outsourcing in SSCs. Thus, the opportunities have been considered in the economical perspectives and opportunities in terms of CSR and sustainability haven't been taken into consideration.

7.2. Future research areas.

Our research exposes future research possibilities within the domain of SSCs which are still not addressed by the scholars yet. Out study covers that how do the opportunities and challenges of strategic outsourcing in SSCs influence the competitiveness of organizations across various service industries in Sweden. Yet there is some space to conduct future research on how organizations convert the challenges related to strategic outsourcing into opportunities in domain of SSCs. The future researchers have possibilities to look this issue with the perspective of resource-based theory or agency theory by proposing comprehensive framework to convert challenges to opportunities.

Moreover, our research has been limited to the territory of Sweden and empirical findings are only valid in Sweden or developed economies. Yet there is an open space for researcher to conduct similar research for emerging or developing economies.

Our research focuses on local outsourcing and partnerships and does not address global outsourcing. Consequently, it does not highlight the global opportunities and challenges, related to outsourcing in SSCs. Hence, there are unrevealed research areas to conduct a comprehensive study on opportunities and challenges of strategic outsourcing decision in MNEs.

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Appendices

Appendix1

Approval for processing personal data in thesis work, as per GDPR regulations

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Jönköping International Business School

*Please note that this form can only be used if sensitive data is **not** processed in the thesis and if consent has been given by the study participants*

Date: 2/26/24

Application for processing of personal data in thesis work (GDPR)

Course code: JMBV27 J4047

Supervisor name: Naveed Akhtar

Student name: Nadeeka Berglund E-mail: rana16ne@student.ju.se

Student name: Muhammad Saqib Riaz E-mail: rimu22tk@student.ju.se

Student name: E-mail:

Application details

Purpose of the processing of personal data

Providing insights into "Strategic Outsourcing in Service Supply Chains, opportunitie

Which categories of personal data which will be processed?
For example: companies, students, the general public.

Companies

Which kind of personal data will be collected?
For example: name, e-mail, age

Company name,numer of employees and partners

ADDRESS: *Jönköping International Business School Ltd, P.O Box 1026, SE-551 11 Jönköping, Sweden*
VISIT: *Gjuterigatan 5, Campus, Building B*
PHONE: *+46 (0)36 10 10 00*
WEB: *www.jibs.se*

How will the personal data be safely stored?
For example, in my home folder at the JU servers, on my computer.

In personal computers

Specify if the personal data will be transferred to a third party, that is, otherthan JIBS. *If yes, please state the organizationbelow. Otherwise, state no.*

No

By signing the form, ***the supervisor*** *certifies that the design of the thesis meets the requirements of the Data Protection Regulation. This includes that informed consent will be obtained and that sensitive personal data will not be processed.*

By signing the form, ***the student*** *certifies that the implementation of the thesis work will follow the approved framework and Jönköping International Business School's instructions.* ***The student further certifies that the personal data will be deleted when the thesis work has been completed****.*

Supervisor signature

Student signature

Student signature

Student signature

Appendix 2

GDPR Thesis Consent Form

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GDPR Thesis Study Consent Form

Required by European Union General Data Protection Regulation 2016/679

GDPR Consent for

Strategic Outsourcing in Service Supply Chains: Opportunities and Challenges.
(How do the opportunities and challenges of strategic outsourcing in service supply chains influence the competitiveness of organizations across various service industries?)

Please tick the appropriate boxes	**Yes**	**No**
Taking part in the study		
I consent to JIBS processing my personal data in accordance with current data protection legislation and the data delivered.	紝	紝
I consent voluntarily to be a participant in this study and understand that I can refuse to answer questions and I can withdraw from the study at any time, without having to give a reason.	紝	紝

My signature below indicates that I choose to take part in the thesis study and consent to JIBS treating my personal data in accordance with current data protection legislation and the data delivered.

____ ________________________ ____________

Name of participant
[IN CAPITALS] Signature Date

Thesis contact details for further information

Muhammad Saqib Riaz, +46734759483, rimu22tk@student.ju.se
Nadeeka Berglund, +46769269303, rana16ne@student.ju.se

Version: January 2020

JÖNKÖPING UNIVERSITY
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Thank you for agreeing to take part in the above thesis study. Before you decide whether or not to take part, it is important for you to understand why the research is being done and what it will involve. Please take time to read the following information carefully

What is the purpose of the study collecting personal data?
This Master's thesis aims to explore the challenges and opportunities that companies/managers face when making the decision to strategically outsource some of the functions in their services supply chain. By conducting an in-depth interview, we will be able to explore what factors managers consider in their decision to outsource services and what specific challenges and opportunities they consider important to make this decision which impacts the competitiveness of the firm. Your insights will help finalize a theory that we intend to make suggesting companies improve their decision-making.

'It is entirely up to you to decide whether or not to take part. If you decide to do so, you will be given this information sheet to keep and will be asked to give your consent.' All the information that we collect about you during the course of the research will be kept strictly confidential. You will not be able to be identified in any ensuing reports or publications.'

Under GDPR you have the following rights over your personal data:

- ***The right to be informed**. You must be informed if your personal data is being used.*
- ***The right of access**. You can ask for a copy of your data by making a 'subject access request'.*
- ***The right to rectification.** You can ask for your data held to be corrected.*
- ***The right to erasure**. You can ask for your data to be deleted.*
- ***The right to restrict processing**. You can limit the way an organisation uses your personal data if you are concerned about the accuracy of the data or how it is being used.*
- ***The right to data portability**. You have the right to get your personal data from an organisation in a way that is accessible and machine-readable. You also have the right to ask an organisation to transfer your data to another organisation.*
- ***The right to object**. You have the right to object to the use of your personal data in some circumstances. You have an absolute right to object to an organisation using your data for direct marketing.*
- ***How your data is processed using automated decision making and profiling**. You have the right not to be subject to a decision that is based solely on automated processing if the decision affects your legal rights or other equally important matters; to understand the reasons behind decisions made about you by automated processing and the possible consequences of the decisions, and to object to profiling in certain situations, including for direct marketing purposes.*

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***You should also know that you may contact the data protection officer if you are unhappy about the way your data or your participation in this study are being treated at** dpo@ju.se*

Thank you for reading this information sheet and for considering whether to take part in this research study.'

Contact details for further information

Thesis supervisor	***Naveed Akhter***	***E-mail***	naveed.akhter@ju.se
Thesis student	***Muhammad Saqib Riaz***	***E-mail***	rimu22tk@student.ju.se
Thesis student	***Nadeeka Berglund***	***E-mail***	rana16ne@student.ju.se

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Appendix 3

Interview questionnaire

1. Introduction

1. Please introduce yourself. - Name: - Designation: - Years of experience: - Period with this company: - Your main responsibilities:

2. In what kind of sectors are you currently active? OR Which sector of industry does this company operate in?

3. What are the main products/services of your company?

4. How many employees are currently employed by the company?

5. Do you buy any service from any service supplier today and what kind of services are you buying?

6. Do you hire employees, handle accounts and payroll function in-house (by yourself) or through outsourcing?

2. Opportunities & Benefits

1. Why do you outsource __________ function? What factors led to the decision to outsource specific services/functions in the service supply chain?

2. What factors do you consider in the selection of a service provider?

3. What kind of benefits do you associate with the decision to outsource a service to a service provider?

3. Cost Considerations

1. How has strategic outsourcing impacted the overall cost structure of your organization? Have you experienced any cost savings? If yes, in what areas?

4.Operational Efficiency

1. How does the selection of service provider influence your customers?

2. In what ways has the outsourcing of __________ function improved the operational efficiency of your company in service delivery? Have there been improvements in service quality or speed of service delivery?

3. Can you share with us any examples or incidents in which the selection of a specific service provider impacted positively on your activities or resulted in enhanced customer satisfaction?

8. Any regrets from your decision to outsourcing ______ function, or for selection of any service provider? Give examples.

5. Global Reach / Expansion of Business:

1. How has outsourcing contributed to your business in accessing specialized expertise?
2. Have there been challenges or benefits related to cultural differences you experienced in outsourcing relationships?
3. In what ways do you believe that this decision has expanded your business giving you access to more markets?

6. Challenges & Risks

1. Have there been challenges in maintaining control over outsourced functions?
2. How are quality standards and organizational values upheld or compromised in outsourced services?
3. Have you ever felt to be over-depending on a specific service provider? How does your organization manage risks associated with dependency on specific outsourcing partners?
4. Do you have any examples or incidents in which the selection of a specific service provider went wrong and as a result, it negatively impacted your business activities or customer dissatisfaction and how did you handle it?

7. Communication & Coordination

1. How do you manage communication with outsourced partners, and what tools or strategies are employed?
2. Have there been instances of communication breakdowns or coordination challenges?

8.Competitiveness / Competition

1.Who are your real or potential competitors in the market?
2. What kind of influence/support do you gain from your suppliers or partners to compete with competitors?

9. Future Outlook

1. Are you satisfied with the decision of outsourcing and how would you like to change it in future?

10. Final comments (to enhance our study), with a thanking note for participation.

Appendix 4

Additional quotation table

Second-order themes	Representative first-order data followed by Quotations
Current motives	*ID2- "The main purpose of this decision is to be able to focus on our core business and to get rid of the things that we tend to not really be good at doing, that's why* [we choose to outsource]*." (Efficient conduct of business)* *ID2- "We need people, we need equipment. We are in that project in September and October and then in November, and December (for a certain period), then, there's no film job for us. So it depends so much on the kind of projects that we are working on. So that's the case. That's why we are using a supplier or partner for that and that goes also for more complex PR work." (To eliminate operational costs)* *ID9- "I don't have a service. I don't have a I don't need to do a service for my vehicle. I don't need an oil change or gear oil change or some kind of stuff, but it will be done by this person and it will save money for me." (To eliminate operational costs)* *ID11- "Outsourcing allows us to leverage specialized expertise and resources that may not be available in-house. It enables us to streamline operations, reduce overhead costs, and focus on delivering exceptional value to our clients." (To eliminate operational costs)* *ID8- "And that way we saw it was more economically, beneficial for us. It would save us money to bring that back in-house." (To eliminate operational costs)*

Futuristic Motives	*ID5- "Since we have started, the year 2022 was the peak year for our company. So at that time, two companies approached us for the job, they were very expert and while we outsourced the job, the area of our work increased. Like initially, we have a particular area in central Sweden. But as they come into contact with us, the area is increased. We are getting to cover more and more cities like Linköping, Norrköping which is quite far away from our location in Jönköping. But that supplier company was established in Linköping. So we get one more big area of operations." (expansion of business)* *ID2- "That's why we tend to use our collaborations with Danish suppliers, for instance, Danish agencies, if are working with the Danish campaign or working with the customer that wants to have a campaign in Denmark, then we turn to our Danish agency and work with a Danish agency who understands the Danish market and understands what can we actually produce* [to serve them]*." (expansion of business)* *ID9- "We have outscored and have suppliers like the speed boat system. We have two coordinators with two guides in Thailand and we have hotels in Maldives, like the one we're using in expanding our customers' experience, so we have that benefit." (expansion of business)* *ID7- "For example, before that when, in Jönköping, we had just 2-3 terms, but now I have seven teams in Jönköping and at the same time, before that I had just one team in Gutenberg and now there are four teams." (expansion of business)* *ID2- "We need people, we need equipment. We are in that project in September and October and then in November, and December (for a certain period), then, there's no film job for us. So it depends so much on the kind of projects that we are working with. So that's the case. That's why we are using a supplier or partner for that, then the cost goes for suppliers in more complex PR work" (to stay competitive)* *ID5- "We need the most materials when we have the employees, but when we outsource the function, the vehicle, the material, all those costs are covered by the supplier company. Not by my company. So we can reduce the cost of transportation. So there are a number of factors. I would like to mention, we can reduce the transportation cost, and we can reduce the taxation cost for the employee. These all are covered by our outsourcing company." (to stay competitive)* *ID9- "I don't have a service. I don't have a I don't need to do a service for my vehicle. I don't need oil change or gear oil change or some kind of stuff, but it will be done by this person and it will save money for me" (to stay competitive)*

Efficient conduct of business	*ID6- "I would say maybe that they are quite spread in their expertise, which is affecting us (positively) in terms of cost savings and having efficient processes...". (cost saving and improved efficiency)* *ID 4- "Absolutely, this is one of the reasons why we chose to go with external partners. Cost savings have been realized primarily in areas such as IT, customer services, and in improvement of certain other business operations..." (cost savings and improved efficiency)* *ID1- "So it's (outsourcing is) time saving. And time is money." (cost savings and improved efficiency)* *ID7- "If you outsource the job, you are saving money. Of course, you are saving time also that you must spend on arranging all those resources". (cost savings and improved efficiency)* *ID10- "It is also beneficial for us in reducing operational costs. Instead of having regular staff for these functions in-house that would only be used when some problem may occur and will sit idle for the remaining time, it is better to have contact with specialized service providers from outside of the organization to be contacted whenever needed." (cost savings and improved efficiency)* *ID1- "The main advantage is probably that the employee can immediately focus on work which of course is a gain for us as a company. If the employee would have to do everything themselves, they would have to spend a lot of time researching and finding information. This way the employee and the company can save a lot of time get more work out of their employee and let them focus on what they do." (focus on core-works)* *ID6- "The main purpose when it comes to any kind of administration or something like that, instead of dealing with accounting ourselves, we are able to focus on our core business. We get rid of the things that are not really in our core competency area." (focus on core-works)* *ID5- "So, in that case, we reduced a lot of pressure over our part on our company by resourcing or by outsourcing our jobs to an expert company that already has enough experience in dealing with the customers and experience with the packaging and taking care of all the stuff in a proper way and that's why that's a major benefit*

	or for us, in that case, we don't have, we don't need to take the stress and we can stay focused on our main tasks." (focus on core-works) *ID9- "Another thing is when we do outsourcing most of the time it slows the problems to my table. It's on their own desk. It's not coming to my desk. Because they need to find. Then when it comes to me, it will take a little bit less energy and time from me and the other benefit means I can concern myself with my core responsibilities." (focus on core works)*
Continuous improvement and adaptation	*ID6- "This company is only two years old, so I would say it's quite still new, which makes it quite natural that we need to focus on our core business for a couple of years first to be able to maybe grow it and then in some years' time, maybe it would be possible to have different departments or different roles within the company as well. Right now, we gain some help from some kind of communication and also an IT company, because we need their resources too, which we cannot have otherwise (in-house)." (access to external resources)* *ID2- "Our end result is better if we hire a really skilled company that works with films that are good in making the right storyboard, who is really good at the actual work to film, they have the right equipment, they have enough people working that they could have and they know some really good actors or voices or whatever you need..." (access to external resources)* *ID7- "You don't have to take so much resources. If you're performing (a) job (by) yourself, you have to buy (a) truck and material (stuff required to perform your job/service). When you buy a truck, you have to keep (recruit) a driver and take the calls every time. For example, if he says the car has this and that problem (you'll have to manage repair and maintenance). But your subcontractor can't (complain for such things). Because he has to fix (such problems) himself. By outsourcing (some) services, actually you can feel stress free." (access to external resources)* *ID1- "Because they are the experts when it comes to everything around moving to Sweden which includes contacts with the tax office to get registered, contacts with banks to get a bank account for our employees and also to get housing in Sweden... This company that we work with, they are the experts. So instead of doing all the work ourselves, which would mean a lot of work, we buy these services to be more efficient...". (access to external expertise)*

	ID2- "It makes our job even better. I mean our end result is better if we hire a really skilled company that works with films that are good in making the right storyboard, who is really good at the actual work to film, they have the right equipment, they have enough people working that they could have and they know some really good actors or voices or whatever you need, I mean that will make (a) quality (product) for the customer(s)..." (access to external expertise)
Enhanced Brand Perception	*ID13- "At Restaurant "YYY[5]", we believe that using natural ingredients from chosen suppliers is essential for delivering the highest quality dining experience to our guests. These ingredients not only ensure superior taste and freshness but also align with our commitment to health, sustainability, and supporting local producers. It helps us to grow more customers to our Restaurant and also higher demand for our catering" (Improved customer satisfaction)* *ID12- "Outsourcing this function allows us to enhance customer satisfaction by delivering high-quality services more efficiently. By using specialized expertise of our partner firm, we can improve service delivery and provide greater value to our clients, which enhances our operational efficiency. By doing this we believe that we give them a good image of our firm".* (improved customer satisfaction)
Risks	*ID4- "It (compliance risk) cannot be denied but by entrusting sensitive tasks to reputable service providers, we can mitigate risks associated with data handling and ensure adherence to relevant regulations such as GDPR..."* *ID9- "For example paragliding. It cannot be done by a normal company. It's needed to be safe and guided as well as comply with rules in paragliding. So I want to see if they have a license prior to forming a partnership with them". (compliance risk)* *ID11- Most of the time we always have some plans for our tasks in order to face some unavoidable problems coming from the supplier side. We are not a bit from and our suppliers are also not very big companies. Therefore, some issues have happened in the past because they couldn't Deliver the assignment on time and then we had to find some internal solutions which took a lot of energy from us. (dependency risk)* *ID13- While we may occasionally outsource certain services such as security, we take proactive measures to ensure that these partners align with our standards and values. However, still we have sometimes challenges. Some unpredicted incidents cause delays and sometimes even cancel certain events. For instance, when we hire*

[5] The organization has identified as YYY in order to keep the privacy of the participant.

	a music band for our occasion and if they are unable to be there we face a really bad situation (dependency risk)
Conflict of interest	*ID10- "As we continue to grow, we aim to evaluate our outsourcing strategies to ensure they align with our evolving business needs. Expanding our network of reliable service providers will remain a priority to support our operations effectively." (mismatch of objectives)* *ID2- "Exactly because, I mean, if we don't brief a supplier or partner in a good manner it produces something that we don't expect and it appears hidden cost." (Imbalance of information)* *ID9- "When we say no to some additional services, some people try to add it somehow, but the customer said, OK, but generally, this is not good. They cost something extra to customers. But anyway, some kind of dissatisfaction will come to us." (Imbalance of information)* *ID4- "I would say the most important factors considered in selecting service providers are their expertise in the specific field, cost-effectiveness, and reliability. We check their history and sometimes ask for proof. But most importantly when we establish relationship with them we try to bring transparency (to detect if their profile matches with ours) and keep track of our dealing with them to avoid the mistakes we might make once in order not to repeat later." (mismatch of objectives)* *ID10- "maintaining quality standards and ensuring alignment with (our) organizational values can be challenging. When you outsource, you lose control that's true. But it is very important to keep a close relationship with your service providers and keep pushing them and reminding them to be content with their commitments that you do in establishing contracts." (mismatch of objectives)*

Operational Challenges	*ID5- "Yeah, it's it's a little bit. It's really difficult when things happen like that, extending time because we lack our control because I mean it influences the customer as well." (time extensions/delays)* *ID9- "But communication is most important. And Can you imagine it 48 hours earlier if they said we don't have rooms then I feel it is very hard to find solutions." (time extensions/delays)* *ID2- "Exactly because, I mean, if we don't brief a supplier or partner in a good manner it produces something that we don't expect and it appears hidden cost." (hidden cost)* *ID9- "When we say no to some additional services, some people try to add it somehow, but the customer says, OK, but generally, this is not good. They cost something extra to customers. But anyway, some kind of dissatisfaction will come to us." (hidden costs)* *ID14- "Sometimes they are tricky and add some additional charges to out invoices and we have no clue of that. I mean we are not good in their service and we have to accept it anyway." (hidden costs)*
Professionalism	*ID2- "We look into the kind of match between us, So in that case we are matching each other in a much better way, so their relationship goes much easier. I mean they do the same services, they have pretty much the same digital solutions (that we offer), but with a fit together it's a perfect match". (Selection of suppliers)* *ID 5- "To incorporate (with each other), we see the resources and skills. Then in business, we look for legal formalities. Then the last thing we see is that how much percentage we can earn by outsourcing that one and these are the basic criteria which we take into consideration while dealing with the other outsourcing companies." (selection of suppliers)* *ID6- "More important thing to consider is that all the partnerships (we make) or all the services that we buy and purchase are aligned with our core values too and what we believe is important (to be considered in selection) I would say." (selection of suppliers)* *ID4- "We conduct risk assessments whenever we establish a contract with a supplier and our owners are quite entrepreneurial I would say. They have contingency plans in place." (contracts and legal formalities)*

	ID5- "We deal with a company that has all the legal formalities, all the documents ready with them. Then we see the last thing is how much percentage we can earn by outsourcing that one and these are the basic 3 criteria which take into consideration while dealing with the other outsourcing companies actually." (contracts and legal formalities)
Supplier relationship management	*ID5- "The most reliable we find is written communication. We always send them (outsourcing partners) emails and tell them to respond to our emails. That's the most important because verbal communication sometimes does not go as powerfully." (communication)* *ID1- "We just recently started to use a platform where we submit the order to the company and this platform is safe for information (sharing). Through this platform that we use to get transparent information. It is called "ZZZ[6]"." (communication).* *ID2- "We are using mail and we are using "AAA[7]" and by internally I mean it's like yeah, it's a chat platform pretty much, but in this platform, we can create a group for a project for instance. So we created this group and then we invite Members and we can invite Members from outside as well, but they don't have any access to our internal uh topics or threads so they are only invited for this project and then we have this, this chat forum or what we can and should call it to discuss in an easier, quick and easy way." (communication)* *ID9-The first thing is, for the hotels and everything we do by mail and send detailed messages and I'll follow up until we get the confirmation and if I'm checking what is the possibility do have the upgrade that means normal Deluxe to standard Deluxe to Deluxe or superior rooms or somethings like that. Then for drivers, I'm searching which vehicles they have and everything by using WhatsApp and email together. For the hotels definitely we go through the emails because then the formal invoice comes and everything is resettled. For the vehicle and everything we do by WhatsApp.(communication)* *ID10- "Maintaining strong relationships with multiple partners helps minimize dependency risks because you try to have a win-win relationship as it is a connection or link of give and take kind of thing you know." (relationship with suppliers)* *ID2- "When it comes to the success (of outsourcing partnership), it depends a lot on people and it's a lot about the relationship they have as it's about giving and taking*

[6] The platform has been named as ZZZ in order to keep the privacy.
[7] The platform has been named as AAA in order to keep the privacy.

	you know. I mean sometimes it (your performance) goes bad but if you have a good partnership (with your outsourcing partner firm) you solve it together." (relationship with suppliers)
Risk management	*ID4- "Our owners are quite entrepreneurial... They have contingency plans in place. One of such plans is that they have always stressed to find two suppliers instead of one whenever we've to outsource something. Both are contacted and then the decision is taken in our best interest. This diversification of the supplier base helps us to manage dependency risks and in fact now it has become part of our organization culture." (contingency planning)* *ID4- "Should this supplier, somehow not work out for us, I would look for another supplier which is… I know what the options are and so it wouldn't be very difficult to handle that." (flexibility & scalability).* *ID6- "We need help from a lot of different people for this organization, so it's quite hard to build a relationship with maybe one or two and to get help from one or two people, but instead, we're having contact with maybe 12 of them." (contingency planning)* *ID10- Yes, we have contingency plans in place to mitigate disruptions in the supply chain. Diversification is important and it's better to research the market and find one or more service providers for one task. Then maintaining strong relationships with multiple partners helps minimize dependency risks. (contingency planning)*